

MARKET MAKERS ALGORITHMIC PRICING SYSTEMS (M.A.P.S)

THE TRADE SETUP

- A. PRICE DELIVERY
- B. INSTITUTIONAL ORDER FLOW

PRICE DELIVERY

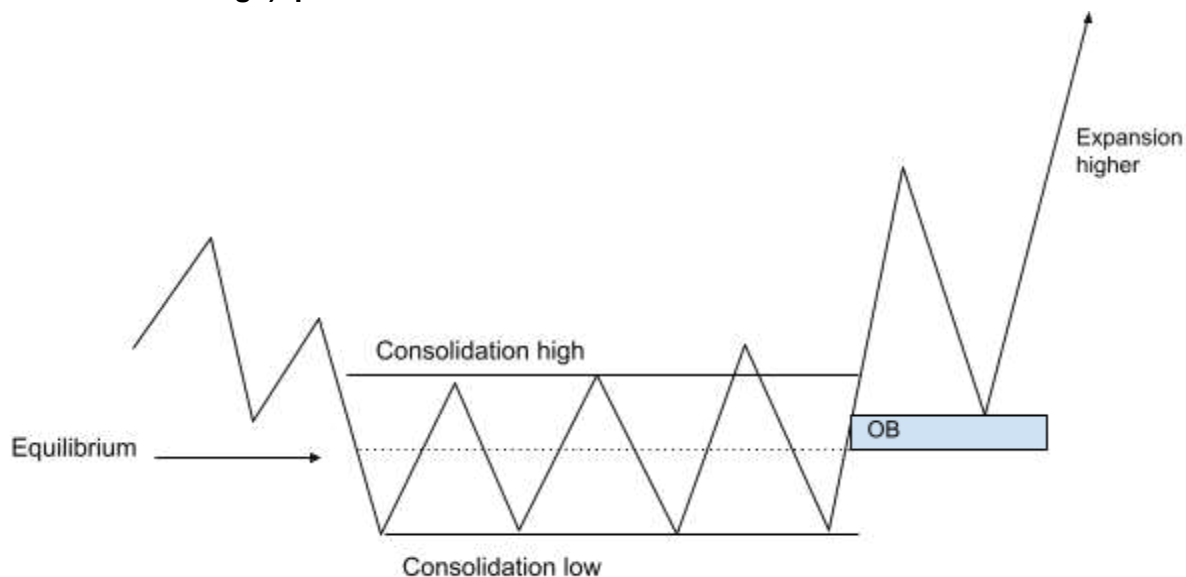
- 1. Consolidation (price delivery starts with a consolidation)
- 2. Expansion
- 3. Retracement/Reversal

INSTITUTIONAL ORDER FLOW

- 1. Order Blocks
- 2. Equilibrium
- 3. Liquidity Voids / Fair Value Gaps
- 4. Liquidity Pools and Stop Runs

CONSOLIDATION : When price moves inside a clear trading range and shows no willingness to move significantly higher/lower. It indicates the Market Makers (MM) are allowing orders to build on both sides of the market. Expect a new expansion.

We look for an impulse swing in price away from the equilibrium (halfway point of the consolidation range) price level.

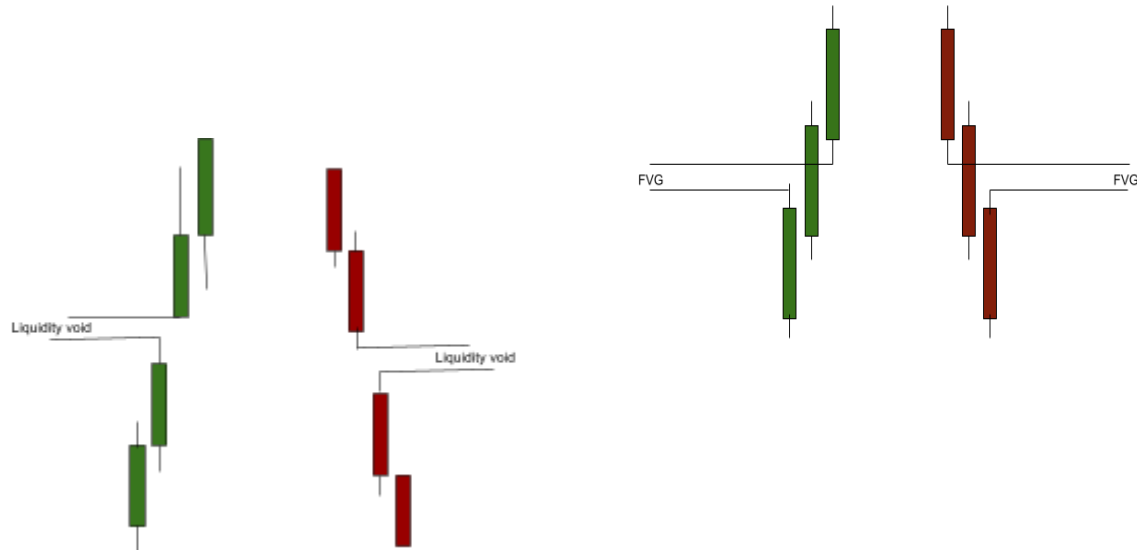


EXPANSION: When price moves quickly (higher/lower) from equilibrium. Whenever price leaves a level quickly, indicates a willingness on the part of MM to reveal their intended repricing model.

We look for the Order Block (OB) the MM leaves at or near equilibrium.

RETRACEMENT : When price moves back inside the recently created Price Range. This indicates a willingness on the part of MM to reprice to the levels which are not efficiently traded for fair value*.

We look for Liquidity Voids (LV) and Fair Value Gaps (FVG).



REVERSAL: When price moves in the opposite direction to that of the current direction. It indicates that MM has run a level of Stops and a significant move should unfold in the new direction.

We look for Liquidity Pools (LP) just above an old price high and just below an old price low.

NOTE: The rules are absolute: look at equilibrium during a consolidation, at OB during expansion , at LV/FVG during retracement and at LP during reversal.

FAIR VALUATION

Equilibrium itself is a Fair value.

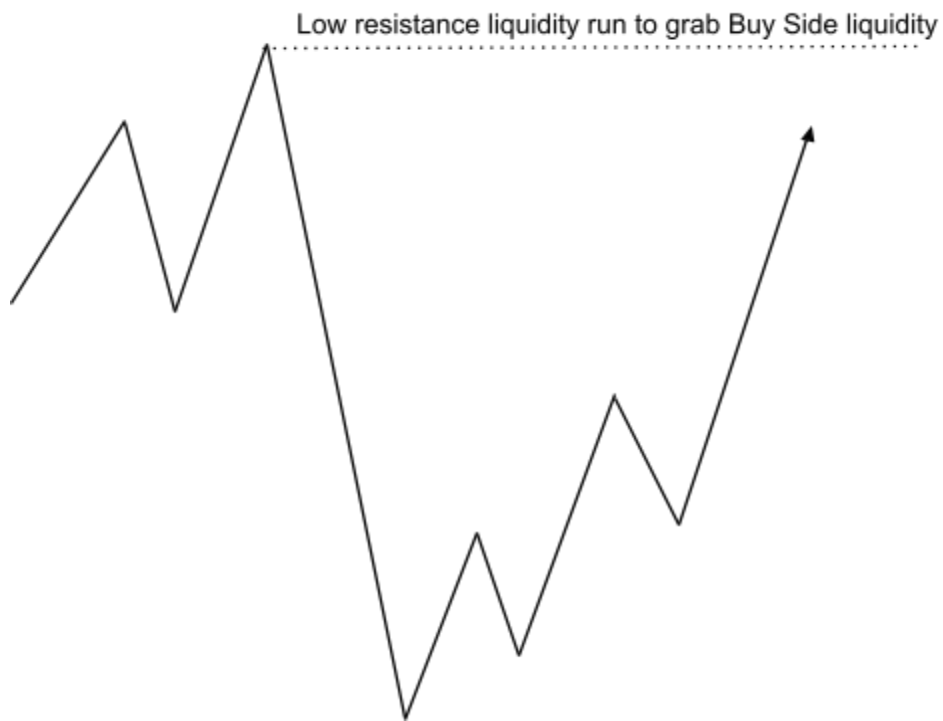
An upclose candle prior to a downswing is a Bearish OB : A Fair value at which to be sold.

A downclose candle prior to an upswing is a Bullish OB: A Fair value at which to be bought.

LIQUIDITY: It refers to the degree to which a market asset can be quickly bought/sold in the market without affecting the asset's price.

LIQUIDITY RUNS: Grabbing the liquidity (Buy stops or Sell stops) from old (high/low) swings is called liquidity run.

Low resistance liquidity run is desirable to enter a trade. (As shown below)



High resistance liquidity run is not preferred to trade. (as shown below)



Takes Before Entering a Trade

1. Do not try to rush to make massive gains.
2. Do not be open to large risks. Risk should be as small as possible.

3. Do not enter a trade if the risk is not defined.
4. Respect the risk side more, over the reward.
5. Risk Reward Ratio (R/R) should be realistic. Enter only for favorable R/R. (At least 1:3 or above)
6. Look for a setup on Higher Time Frame (HTF).
7. Losing is inevitable. Accept it .
8. Avoid fear based decision making.
9. Always remember "The Big Bull" buys under old lows and sells above old highs.
10. Do not look to move the SL too soon.
11. Learn to exit at logical targets and re-enter later.
12. Avoid lackluster or lethargic price movement sessions and wait for trending scenarios.
13. Avoid the temptation to pick market tops and bottoms in the price action.
14. There should be an obvious trend in HTF charts.
15. Institutional Order Flow should be clearly visible on HTF charts.
16. Observe ; Are the downclose candles becoming "support: and seeing higher highs and swing highs are breaking? OR ; are upclose candles becoming "resistance" and seeing lower prices and swing lows are breaking?

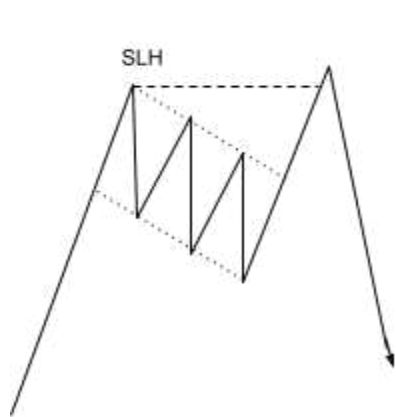
LOSS MITIGATION : Always mitigate the loss by reducing the risk and not by increasing it. Suppose if you are met with a losing trade, if you reenter the trading reduce the position size by 50% (and hence the risk) . As soon as the loss is mitigated, cut the trade and go flat for the day.

SETUP

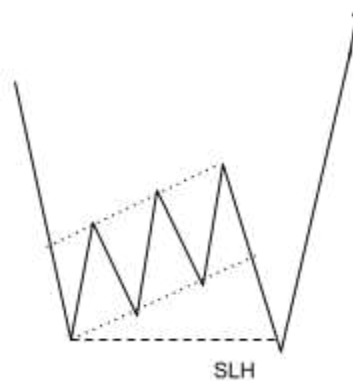
- A. Patience: Process oriented thinking - Not reactionary or impulsive thinking or rushing ahead to trade signals prematurely.
- B. Define the trade environment: Top down analysis - Higher Time Frame to Lower Time Frame analysis of the market.
- C. Define the trading parameters: Market sentiment. Daily range , Time of day.
- D. Executable criteria: If the price does this then I shall do this.
- E. Understand why the price should do what you are thinking of it in terms of Institutional Order Flow and Liquidity seeking mechanism.
- F. Collect the experience for future reference.

MM TRAPS : FALSE FLAGS AND FALSE BREAKOUTS

Always look at the HTF Institutional Order Flow to check if a flag is fake or not. (Makes a basis for Stop Loss Hunt entry technique (SLH)) .

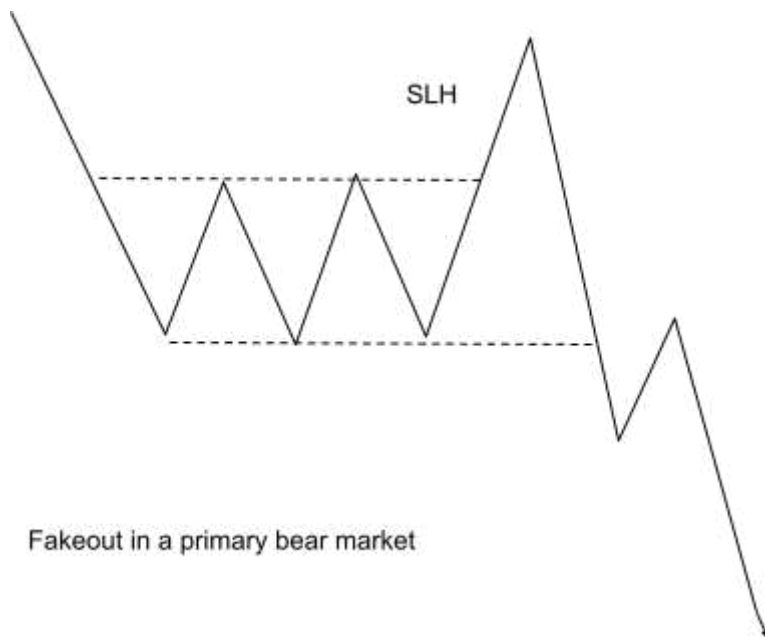


Fake Bull Flag



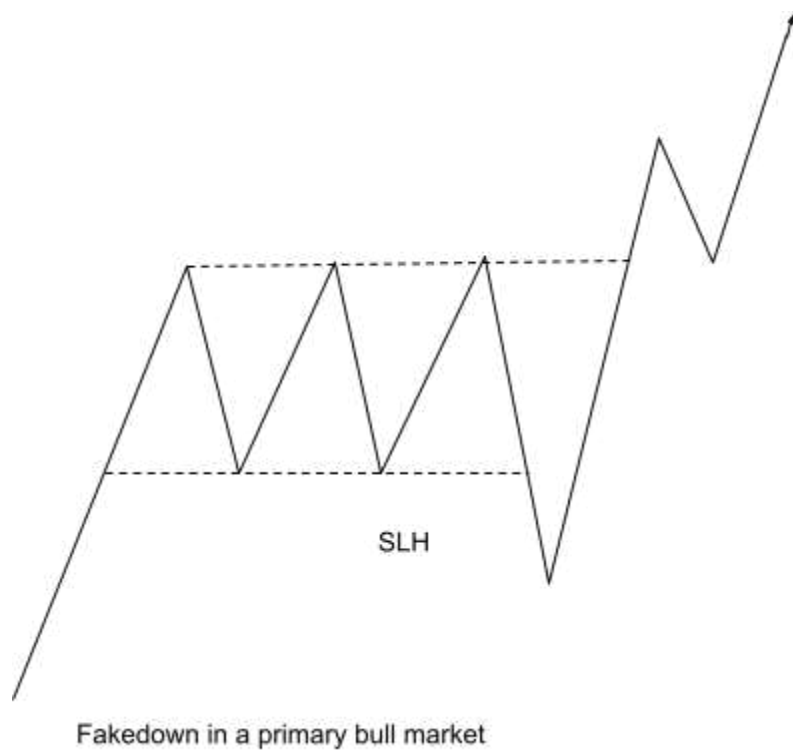
Fake Bear Flag

False breakout: Generally manifests in Bearish market conditions. MM typically sends prices above the consolidation range to neutralize buy stops.



Fakeout in a primary bear market

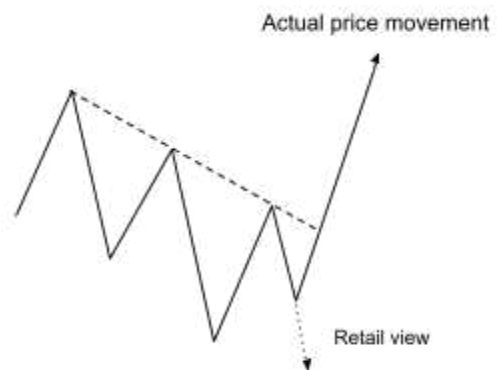
False breakdown: Generally manifests in Bullish market conditions. MM typically sends prices below the range to neutralize sell stops.



False trendlines : There is no evident statistical edge of diagonal trendline support/resistance price action.



False Trendline Support



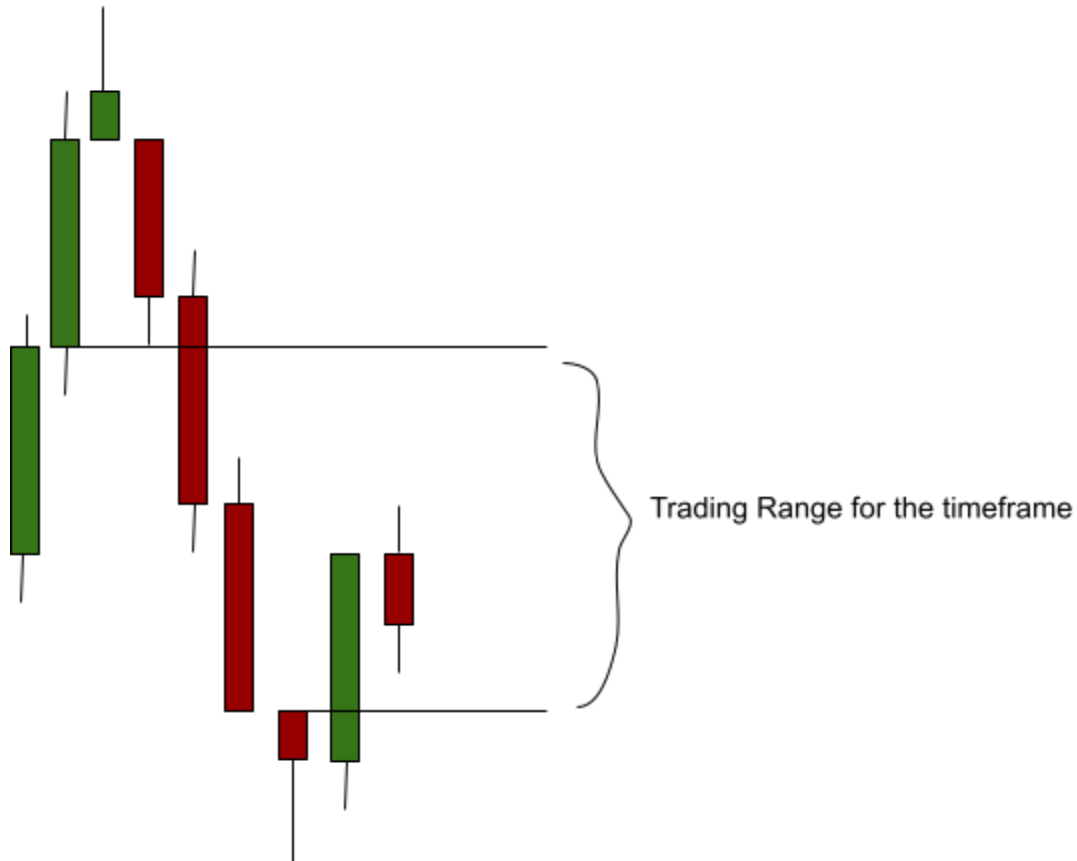
False Trendline Resistance

TIME FRAME SELECTION

Position Trading : Monthly Chart (Trend Trading)

Swing Trading: Weekly Chart (Daily Chart price action)
Short-Term Trading : Daily Chart (Weekly range trading)
Day Trading : Four Hour or less (Intraday swing trading)

Trading Range: Find the most recent down candle and prior to this down candle find any upclose candle having a low higher than the open of the downclose candle. This is the present trading range. Repeat the process on the monthly, weekly and daily chart.



INSTITUTIONAL SPONSORSHIP IN PRICE MOVEMENT

Generally most of the institutional volume lies inside the body of the candles and retailers are trapped inside of the wicks !

Institutional sponsorship in short term setups can be traced in the form of price displacement (large movement of the price in single candlestick) , imbalances (LV/FVG) and liquidity runs.

Anticipate dynamic price movement whenever price moves into previous levels of institutional Order Flow.

The single most influential driving force behind market moves is Interest Rates.

LIQUIDITY CONCEPTS AND PRICE DELIVERY

EXTERNAL RANGE LIQUIDITY: Buy/Sell side liquidity above/below range high/low. Liquidity runs on liquidity pools.

INTERNAL RANGE LIQUIDITY:

1. Liquidity voids fill in .
2. FVGs fill in .
3. OBs inside the trading range populated with new buy/sell orders.
4. MM Buy/Sell model form inside trading ranges.

How to play?

- a) Wait for a quick reaction from internal liquidity.
- b) Wait for an OB to form.
- c) Price returns to the OB.
- d) Aim for external range liquidity.

Buy inside internal range liquidity OB and aim for external range liquidity.

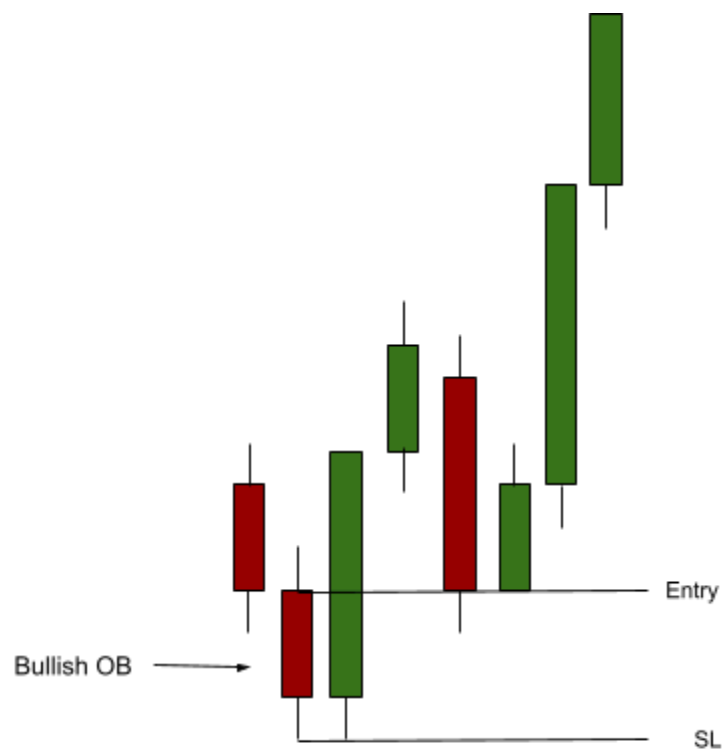
ORDER BLOCKS

1. BULLISH OB:

- a. The lowest downclose candle that has the most range between open to close and is near to a support level (HTF) .
- b. Validation of the OB: When the high of the lowest downclose candle is traded through by a later formed candle.
- c. Entry technique: When price trades higher away from the Bullish OB and then return to the OB high, bullish scenerio. Look for a rally two to three times the size of the OB to buy later into the OB.
- d. Risk: The low of the Bullish OB is the safe SL. Just below the 50% of the OB is safe to raise the SL after the price runs away from the OB.

NOTE : ORDER BLOCK IS NOT NECESSARY A SINGLE CANDLE. A SERIES OF SAME COLORED CANDLES ALSO WORK AS ONE OB . (IMAGINE THE SAME COLORED CANDLES TO BE A SINGLE CANDLE ON HIGHER TIME FRAME)

BEARISH OB : The highest upclose candle that has the most range between open to close and is near to a resistance level (HTF).

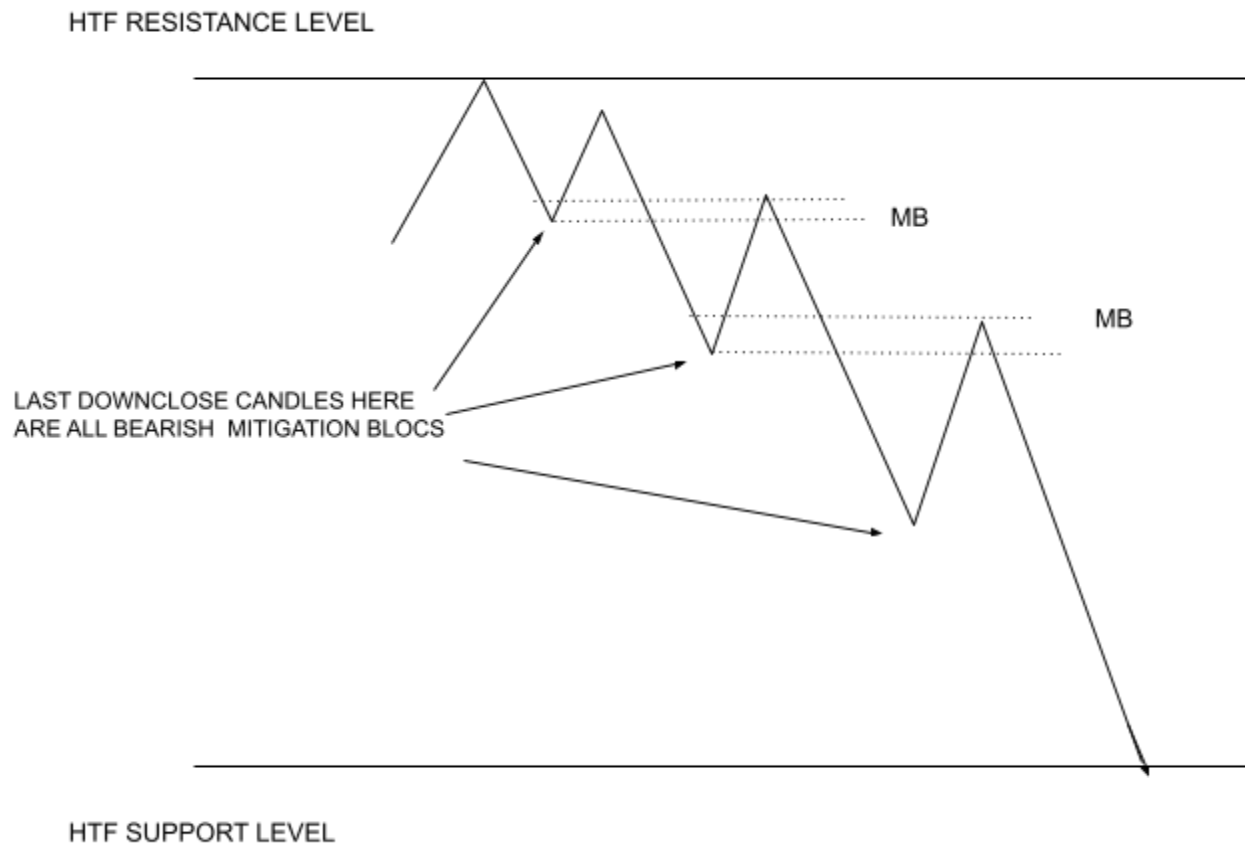


Lowest Downclose Candle

2. MITIGATION BLOCK (MB) :

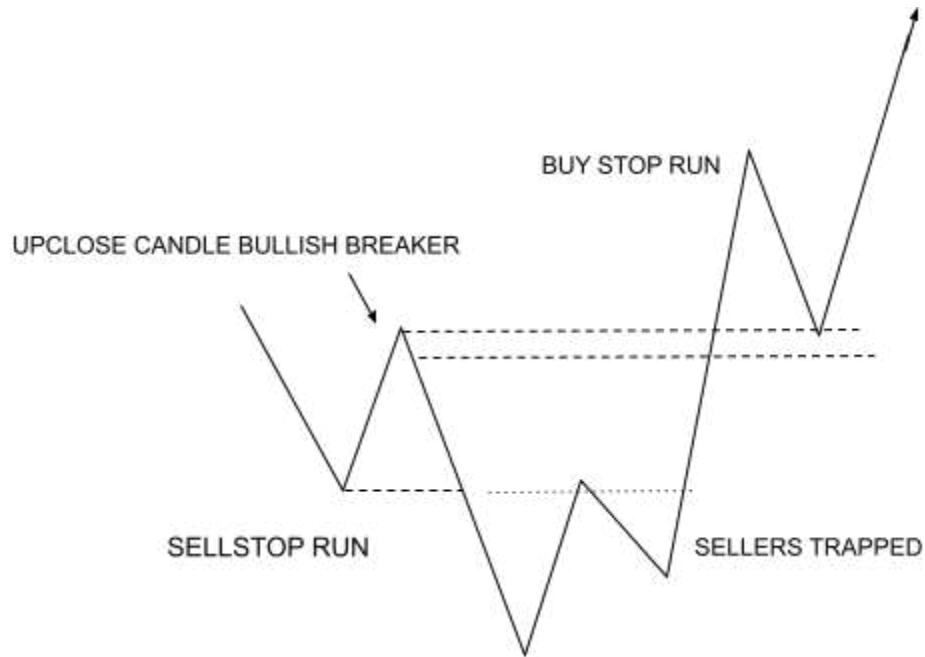
BEARISH SCENARIO : Buyers that previously bought the low later see the low being violated; will look to mitigate their losses as soon as the price returns the same level hence forming a mitigation block - bearish setup.

NOTE: Previous high not being violated. (remember it to differentiate with the breaker block discussed later).

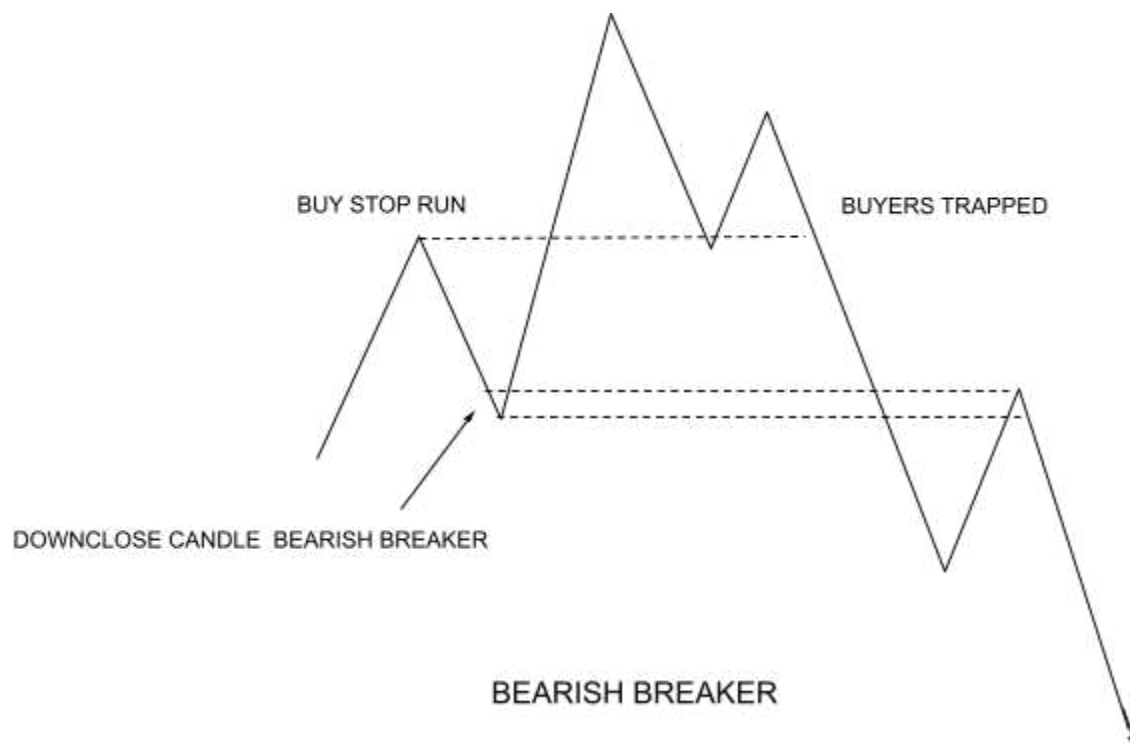


3. BREAKER BLOCKS (BB) :

Differs from the mitigation block only in the sense that in this case the old high is violated first (bearish breaker) and then price moves lower to run sell stops to again reach the same price level before going further lower.



BULLISH BREAKER

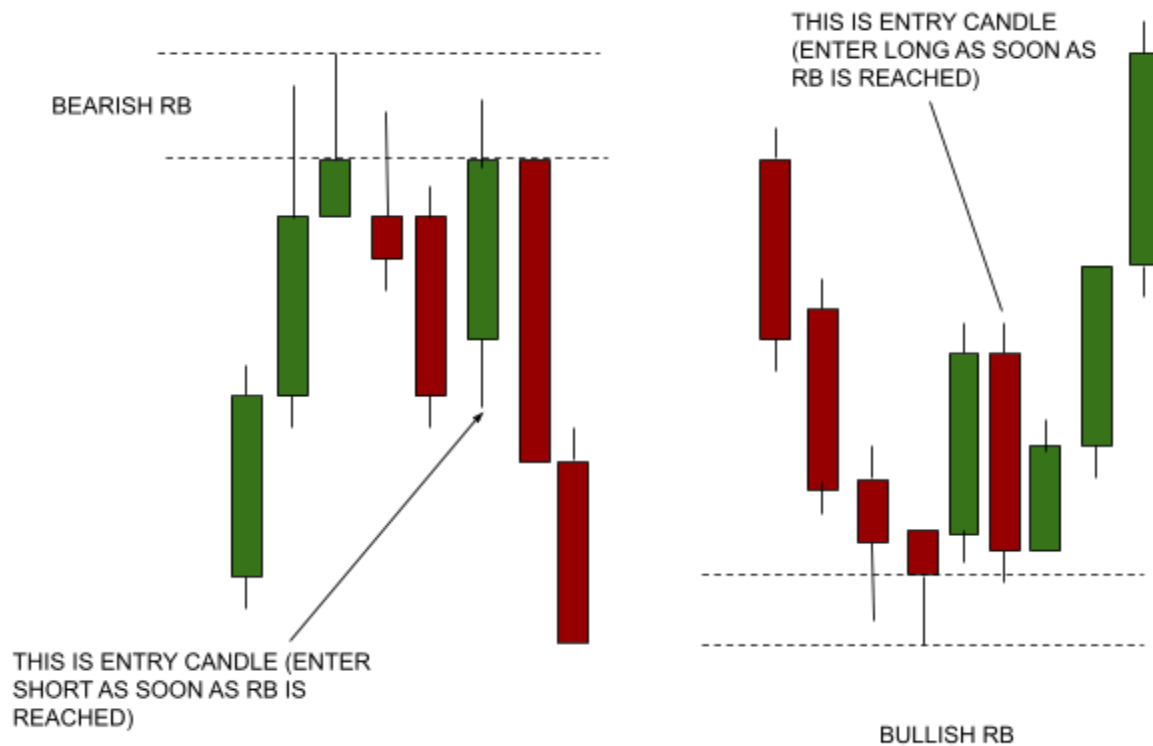


4. REJECTION BLOCK (RB)

BEARISH REJECTION BLOCK : When a price high has formed with long wicks on the highs of the candlestick and price reaches up above the body of the candle to run buy side liquidity out before price declines.

NOTE:

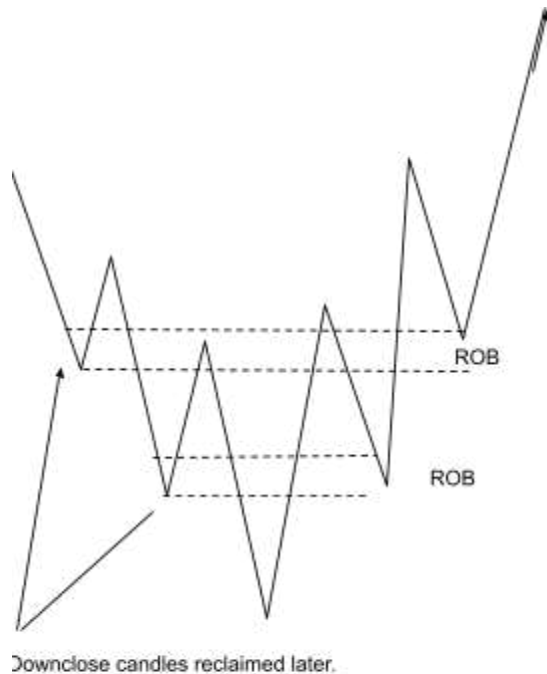
1. COLOR OF THE CANDLE DOES NOT MATTER HERE.
2. BODIES OF THE CANDLE MATTER HERE I.E. WICKS MAY OR MAY NOT SWEEP THE RB, IT IS THE BODY THAT IS BEING SWEEP. SO LIQUIDITY SWEEP IS NOT NECESSARY FOR RB . NEED NOT WAIT FOR LIQUIDITY SWEEP BELOW WICKS.



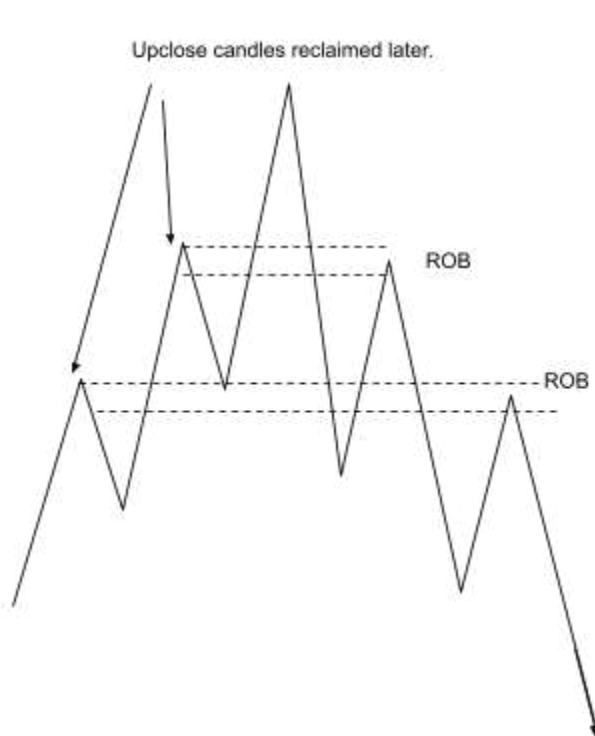
5. RECLAIMED ORDER BLOCK (ROB) (MARKET MAKER MODEL)

MARKET MAKER BUY MODEL : Bullish Reclaimed OB is a downclose candle that was previously used to buy price and a short term bounce confirms minor displacement. On the buy side of the curve these old OBs will be reclaimed for entering long.

MARKET MAKER SELL MODEL: Bearish reclaimed OB is an upclose candle that was previously used to short prices and a short term decline confirms minor displacement. On the sell side of the curve these old OBs will be reclaimed for entering short.

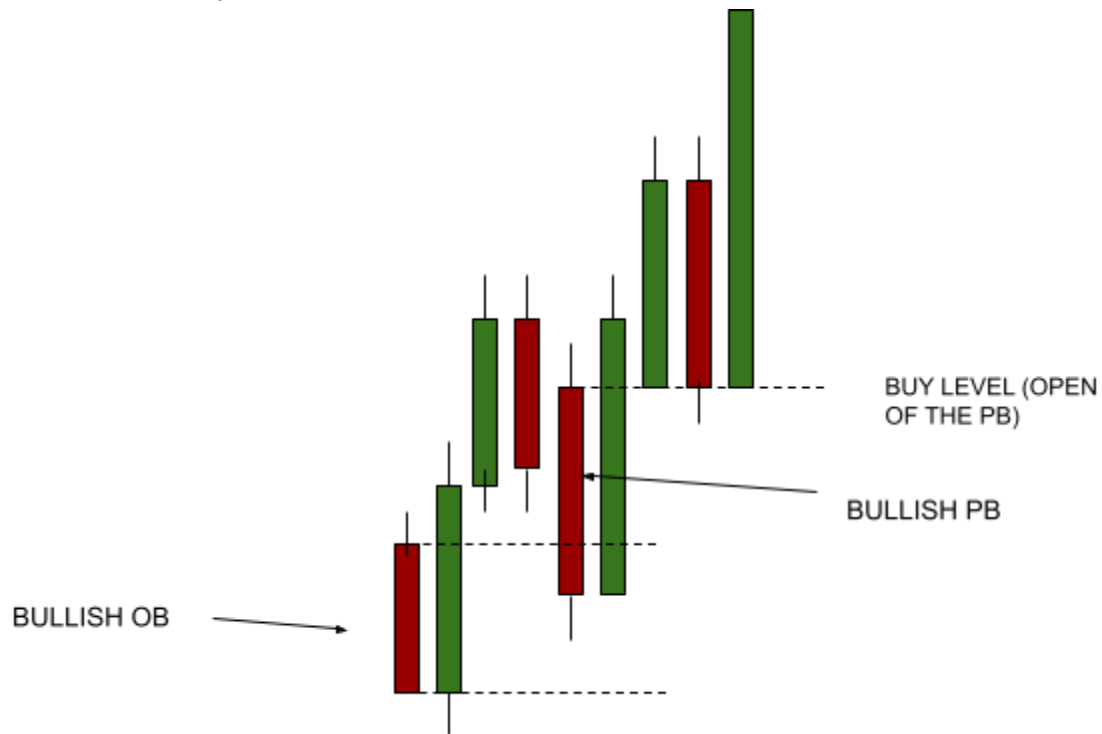


MM BUY MODEL



MM SELL MODEL

BULLISH PB: A candlestick that has previously traded down into a downclose candle or bullish OB and takes over the role of price support for higher price movement. Price responds very quickly from a propulsion candle. The propulsion candle is very sensitive and the mean threshold is strictly protected.

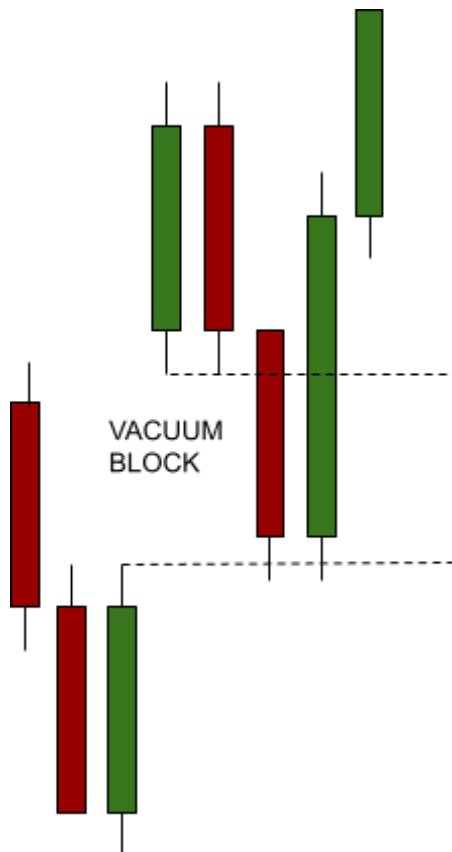


7. VACUUM BLOCK

It is a gap created in price action as a result of a volatility event . The gap forms by a vacuum of liquidity directly related to an event.

A vacuum block may or may not fill completely. Any previous OB may push the price away even without filling the gap.

Once filled , there is no reason for the price to return to the gap. If it does so, exit the position.



8. LIQUIDITY POOL

Liquidity is the open interest of buyers and sellers in the market.

These are sell stops and buy stops near the lows and highs of the price swings.

These can be used as target/exits for an ongoing trade.

9. FAIR VALUE GAPS (FVG)

FVG is a range in price delivery where one side of the market liquidity is offered and typically confirmed with a liquidity void on Lower Time Frame (LTF) in the same range. Price can actually Gap to create a literal vacuum of trading thus posting an actual price gap. Useful in the Ranged market.

MOMENTUM INDICATOR DIVERGENCE

TYPE 1: When price forms a higher high and the momentum indicator makes a lower high. Seen as a bearish divergence to enter short. A TRAP!

TYPE 2: When price forms a higher low and the momentum indicator makes a lower low. It's a bullish divergence. Buy signal confirmation. Not recommended to formulate a trade but to confirm an already formulated and well analyzed trade to enter long.

INSTITUTIONAL SWING POINTS

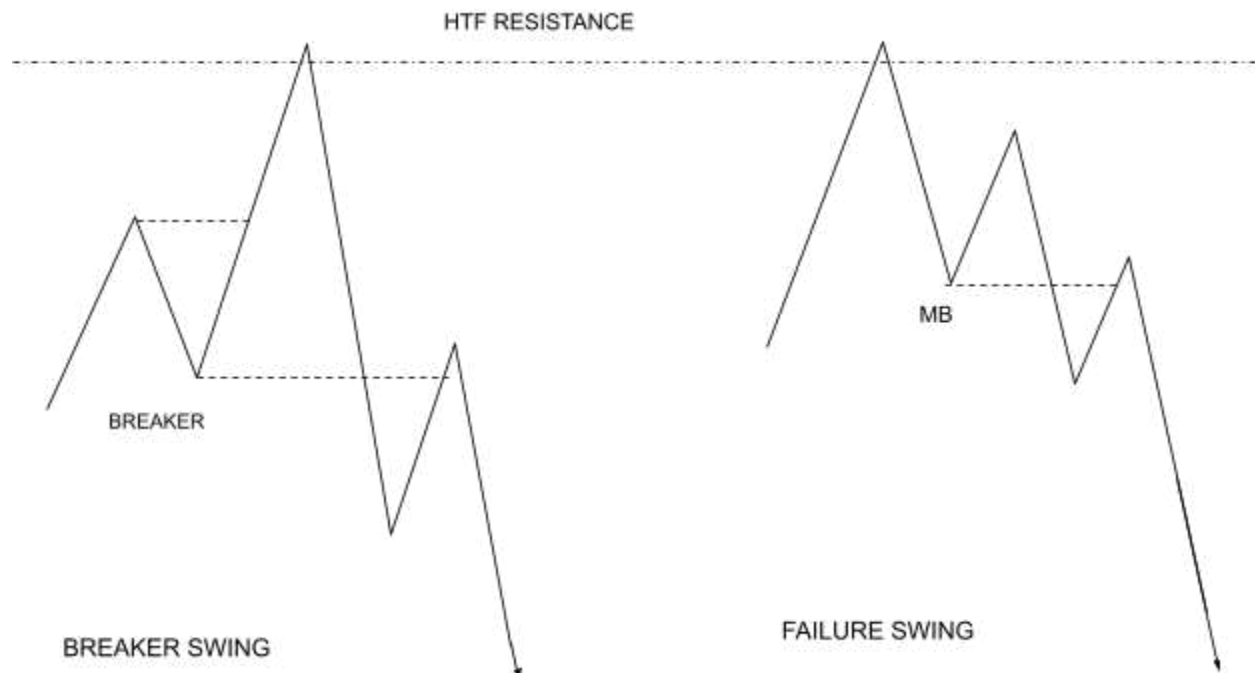
Immediate response from key level is necessary to observe during candle formation.

Only two types of swings are seen in the market:

- a. Breaker swing
- b. Failure swing

BREAKER SWING : The same as the breaker block formation. The price trades to a key level OR just short of it but fails to immediately react- indicating deeper before a reversal. This leads to the formation of a breaker block which can be used to enter the trade later.

FAILURE SWING: The price trades through a key level initially but fails to immediately continue. After rejecting the new price level the price retraces only to attempt to stage another drive to retest or overtake the new price level.



NOTE : THERE IS NO AMBIGUITY / RANDOMNESS IN PRICE MOVEMENT. EVERY PRICE MOVEMENT IS ALGORITHMIC AND CALCULATED , WITH A SOLE PURPOSE OF GENERATING AND HUNTING LIQUIDITY. IT ALWAYS LEAVES TRACES , WE HAVE TO LOOK FOR THEM AND FOLLOW THE FOOTPRINTS WITHOUT FEET.

HTF PD ARRAYS

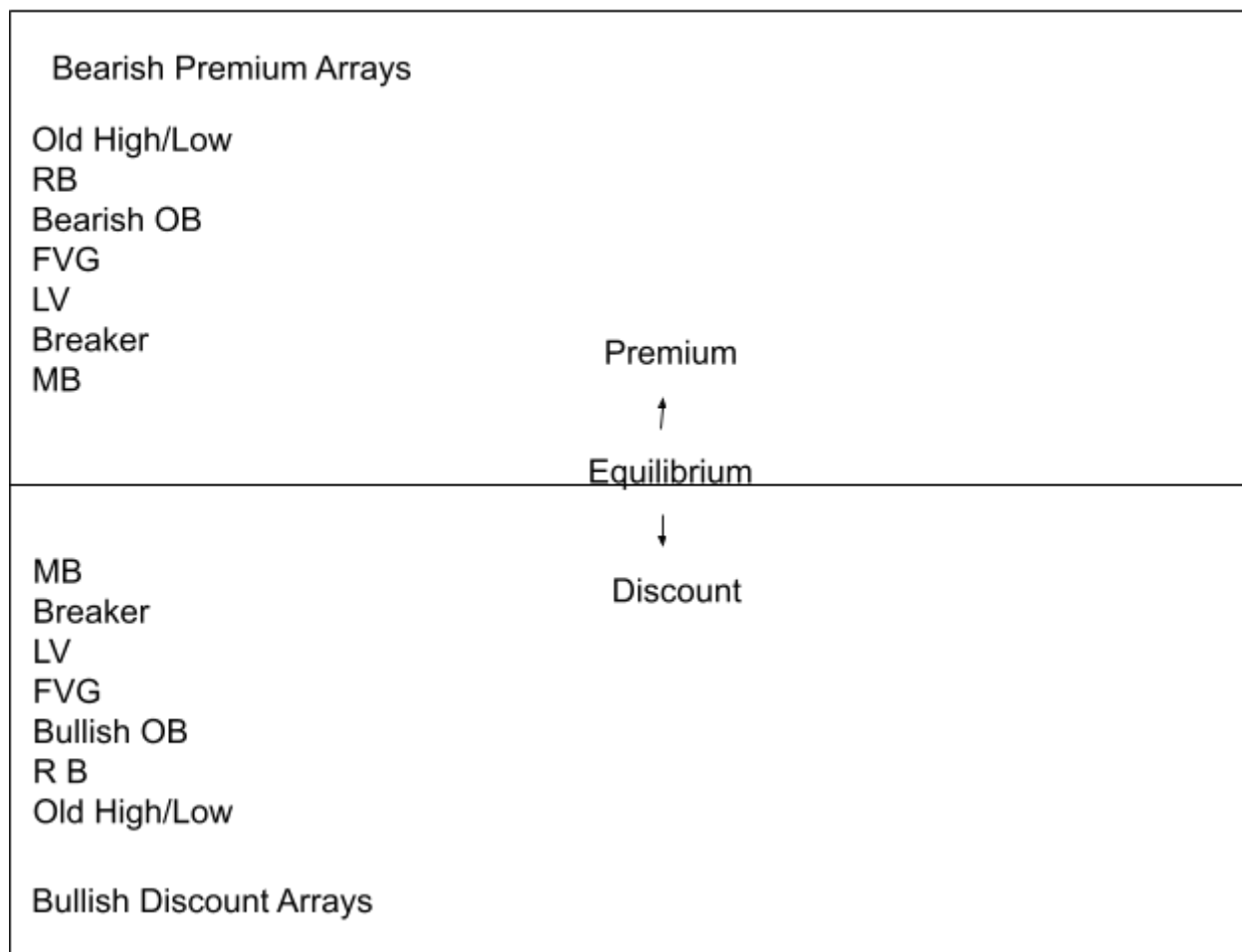
PDA: Premium and discount arrays to plan entries.

PREMIUM: Price above the equilibrium price level of the trading range.

DISCOUNT: Price below the equilibrium price level of the trading range.

Order of hierarchy to look for the Premium-Discount Arrays (PDA) :-

Dealing range



Steps

1. Look for a mitigation block to enter , if not found one
2. Look for breaker, if not

3. Look for LV/FVG, if not formed
4. Look for OB, if not present
5. RB or Old High/Low would certainly be there!

UPON REACHING,

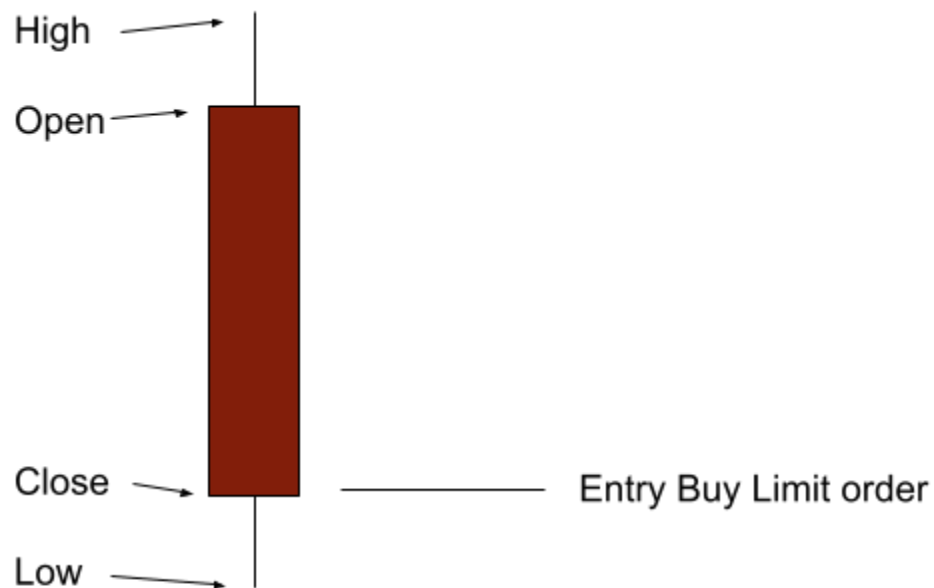
BEARISH PA: Open short position / Close long position.

BULLISH DA: Open long position / Close short position.

LIMIT ENTRY LONG

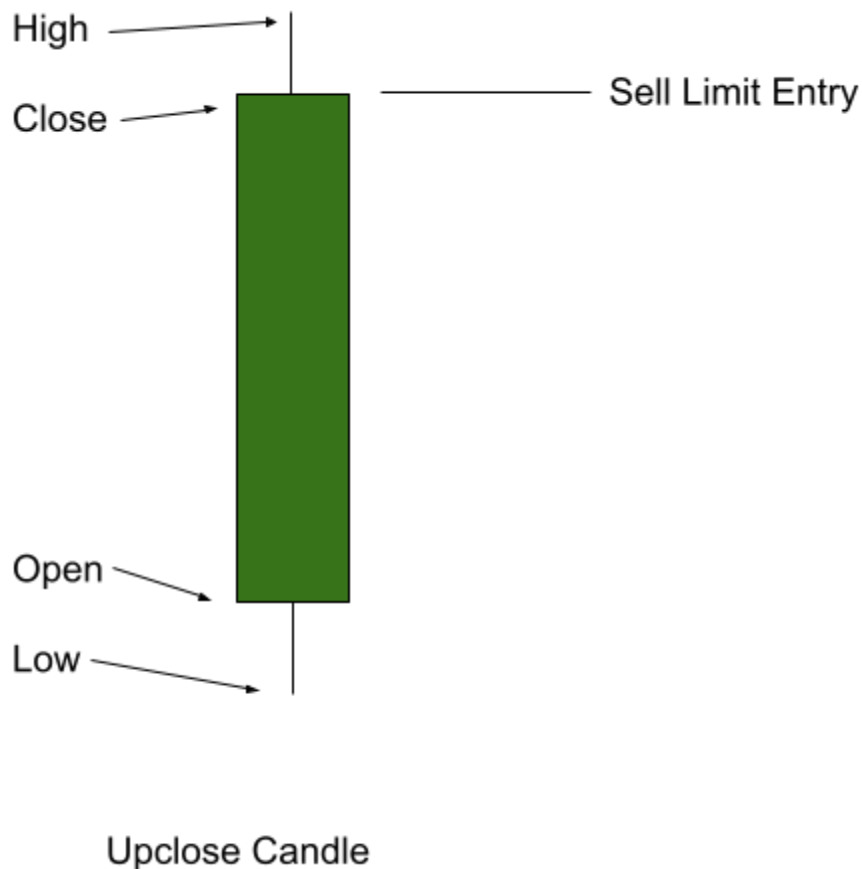
In a primary Bullish market,

Buy limit order is placed at the Close of the down close candle.



Downclose Candle

In a primary Bearish market,
Sell limit order is placed at the close of the upclose candle.

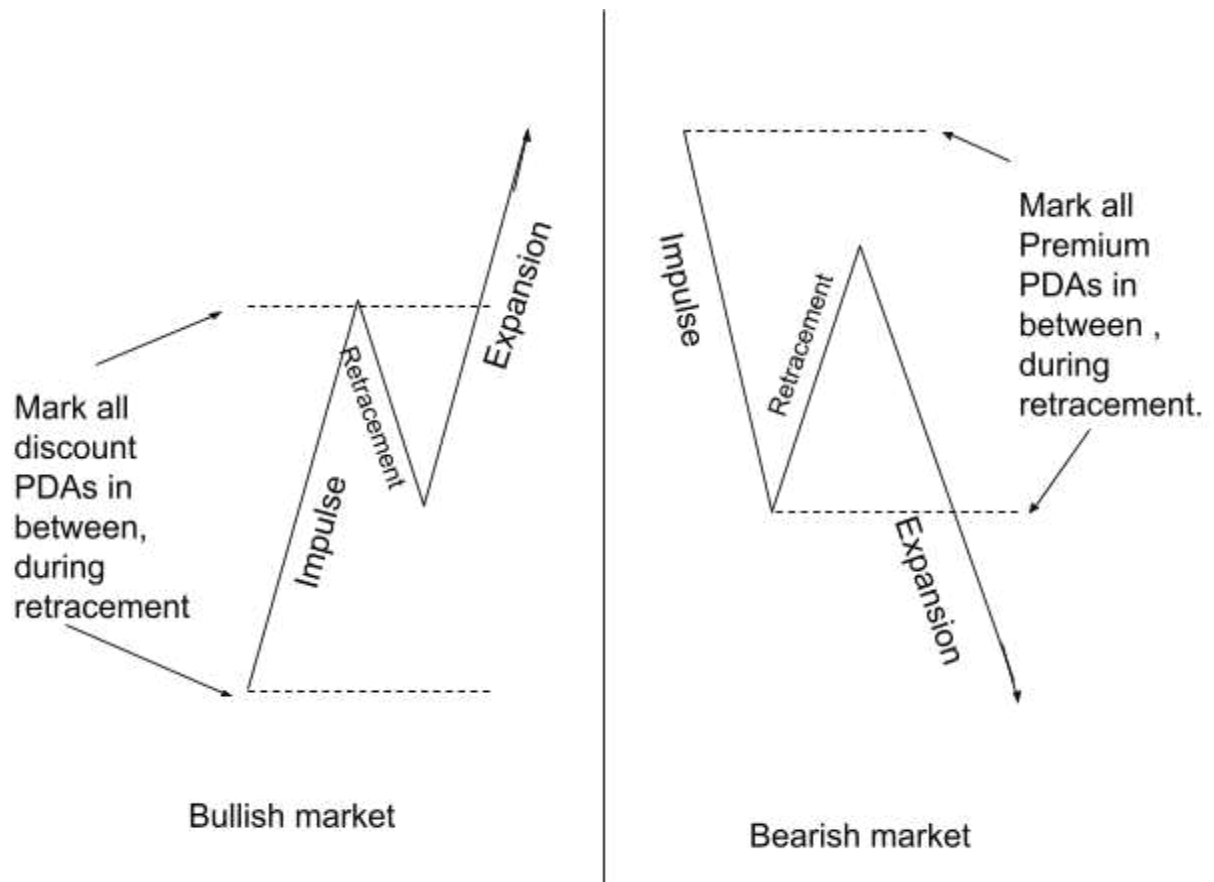


IDEAL TRADE CONDITIONS

Trading predictable price movements in the market with a high degree of consistency. Following are the elements to look before entering a trade:

- Obvious trends in HTF and Institutional order flows are clear.
- Above or below the price, PDA are obvious and easy to identify.
- The cleanest price action is the most favorable to trade in.
- Every trade is passed through a rule based filtering process. The rules are standardized and static, not changing each trading setup. When trade setups fail the filtering process that trade is passed on - no exceptions. When the trade passes the filtering process the trade is executed on.
- Risk to reward ratio should preferably be 5:1, this makes it easier to digest losses.
- The PDA that have been traded to or executed on most recently indicate the opposite PDA spectrum will be reached for.
- In case of failure of PDA, look at HTF PDA.
- If the market is poised to trade higher on HTF, the market rallies higher, then retraces and then expands up to higher highs. The same with the bearish scenario with decline

below old lows.



SETUP FAILURE PROTOCOL:

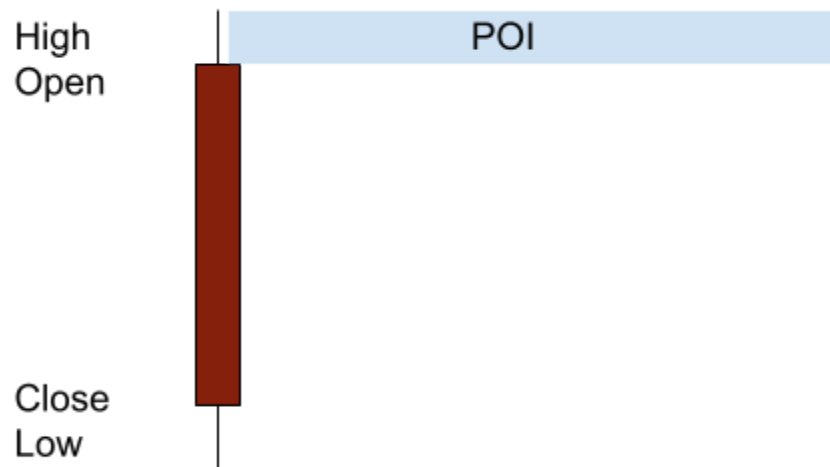
1. If a buy setup from a discount array fails and the trade results in a loss, look for a lower priced discount array to buy at.
2. If no more discount arrays are available, look for them at HTF.
3. At the lower discount array, buy with 50% of the previously lost position size.
4. Do not try to win all the lost equity back in the subsequent trade.
5. Always confirm, LTF premium arrays give way or fail as price moves in your favor and new discount arrays support price as it moves towards the premium arrays on HTF.

CLASSIC TRADING APPROACH

BULLISH MARKET

- A. Discount arrays have shown to induce buying as evidenced by price moving higher. Look for the same PDA on LTF. Buy the LTF nested arrays in HTF arrays.
- B. In all time frames - downclose candles provide new support to price and little to no weakness seen.
- C. Avoid buying in the PDA if the price has just posted a higher high and rejected (may form a bearish breaker, hence the PDA may break)

- D. If HTF is bullish but the LTF seems to be bearish , expect the price to move into an HTF discount array since it is considered only a retracement in HTF. Only buy LTF nested in HTF PDA.
- E. HTF PDAs are traded multiple times unlike LTF PDAs.
- F. Mark the highs and opens of the downclose candles as POI.

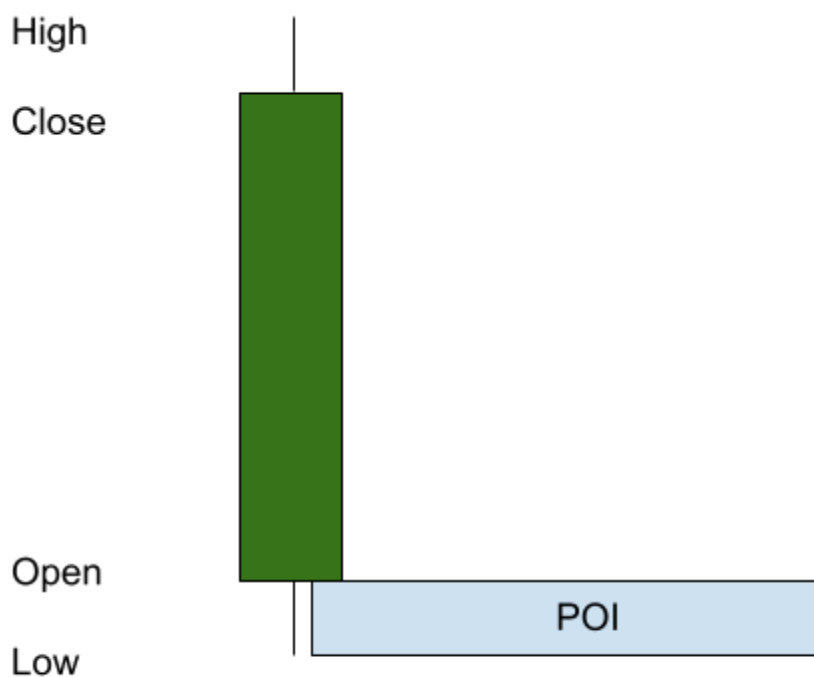


Point of Interest for Bullish market

BEARISH MARKET

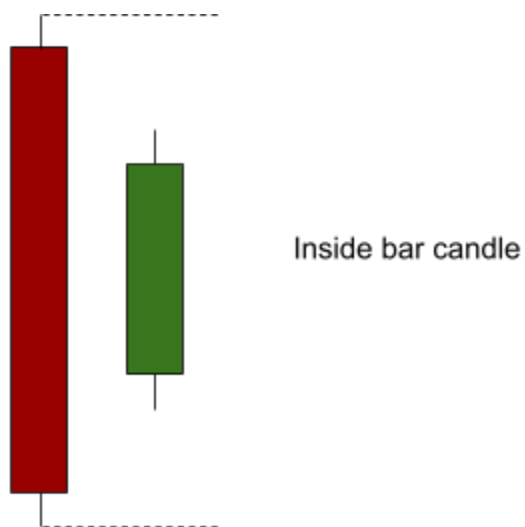
- A. Premium array has shown to induce selling as evident by the price moving lower.
- B. In all timeframes, upclose candles provide new resistance to the price and little to no strength seen.
- C. Avoid selling the PDA if the price has just posted a lower low and is rejected (may form a bullish breaker, hence the PDA may break).
- D. If HTF is bearish but LTF is bullish, it means a correction on HTF. Only sell LTF nested in HTF PDA.
- E. HTF PDAs are traded multiple times unlike LTF PDAs.

F. Mark the lows and opens of the upclose candles as POI.



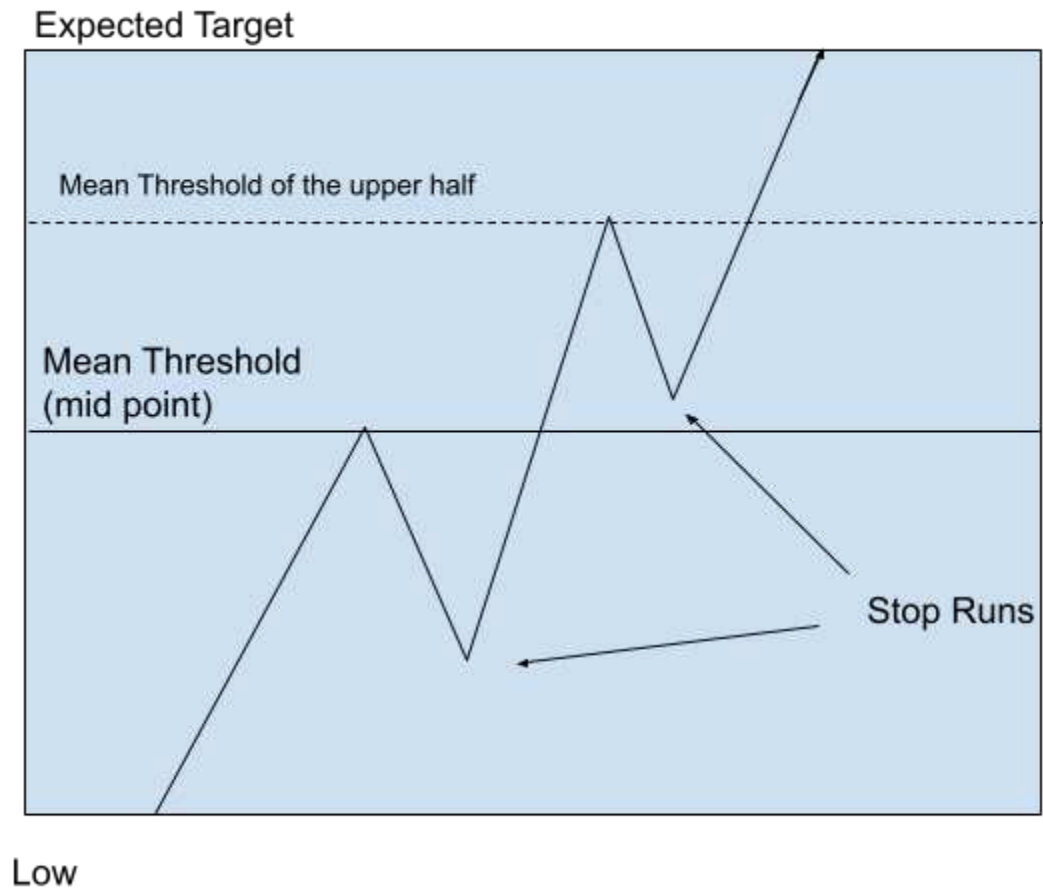
Point of interest for bearish market

NOTE : EXPECT AN EXPLOSIVE PRICE MOVEMENT AFTER AN INSIDE CANDLE, THAT IS A CANDLE WITH LOWER HIGH AND HIGHER LOW THAN PREVIOUS ONE IRRESPECTIVE OF THE COLOR OF THE CANDLE.



Volatility Contraction : Often Leads to explosion!

NOTE : Expect a stop run midway between the low and the expected target, another stop run midway between the later half of the trade.



DAYTRADING

1. Monthly Tendency* (*discussed later)
2. Top Down Analysis
3. Trade Setup
4. Trade Management

TOP DOWN ANALYSIS

- a. Note all PDA on monthly/weekly/daily and transpose them all on the LTF (30 min/ 5 min / 1 min). Determine PDA on all timeframes.
- b. Define weekly range profile and follow the weekly direction of the prices in daytrading for high probability setups.
- c. Determine the midpoint of the range and view the upper half as premium zone and the lower half as discount zone; plan accordingly for high probability day trades.

- d. Further subdivide the Premium and Discount zones into premium and discount zones inside of them; repeat the process until a decisive zone is found on the 5 min chart for day trades.
- e. If price respects some weekly PDA, then expect the LTF PDA (eg. daily) to break, and hence plan the trade accordingly.
- f. Anticipate the price movement from one PDA to another in a weekly range.
- g. Knowing HTF PDA will aid in daytrade directional bias.
- h. If HTF and LTF contradict one another, chances of HTF PDA winning are higher.

TRADE SETUP

- a. Not all days are ideal for daytrading.
- b. Generally 2 setups per trading day on average. (one in the opening session and another in the afternoon).
- c. Wait for volatility to signal large ranges.
- d. Frame a Low resistance liquidity run with opposing PDA.
- e. Daily range is the goal for day traders.
- f. Directional bias frames a large portion of setups.
- g. Ideal scenario is to day trade in the direction of the weekly timeframe.
- h. More the HTF ideas are found to support, the better the day trade.
- i. It is important 'not' to take many trades in a single day.
- j. HTF institutional Order Flow frames a day trade.
- k. Avoid trade during any event that creates a whipsaw.
- l. Avoid trade on a day which is heading to a long weekend.
- m. Need **not** trade daily.
- n. Favorable to observe if the daily chart is clearly respecting HTF PDA, the market has recently responded off an HTF PDA and not met an opposing PDA.
- o. Wisdom in knowing when to stay **out** of the market.

TRADE MANAGEMENT

WHEN DAILY DIRECTION IS BULLISH :

- 1. Use previous day low to high for retracement entries.
- 2. Use previous day low for Sell Stop Raid to accumulate long.
- 3. Focus on the anticipated move from HTF discount to premium PDA.

Buy trades:

- a. Plan after daily chart reacted on discount PDA and price has a clear unobstructed path to an opposing premium array.
- b. Timeframe to execute: 5 min.
- c. Look for FVG below Short term low.
- d. Look for Bullish OB below short term low either previous day or today.
- e. If the condition is very bullish - any discount array will do.
- f. Filling an LV under short term low.
- g. First retracement into 5 min OB.

- h. If short term low is taken out twice with no movement upside - buy SLH entry.
- i. Do not rush moving initial SL.
- j. Take profit on reaching the previous day high.

WHEN DAILY DIRECTION IS BEARISH :

- 1. Use previous days high to low for retracement entries.
- 2. Use previous days high to buy stop raids to accumulate shorts.
- 3. Anticipate move from HTF premium to discount PDA.

Sell Trades:

- a. Plan after the daily chart reacted on premium PDA and the price has a clear unobstructed path to an opposing discount PDA.
- b. Time frame to execute - 5 min.
- c. Look for FVG above Short Term High (STH).
- d. Look for bearish OB above STH, either the previous day or today.
- e. If very bearish - any premium array will do.
- f. Filling a LV above STH.
- g. First retracement into 5 min OB.
- h. If STH is taken out twice with no downside - sell SLH entry.
- i. Take profit on reaching the previous day low.

SCALPING

Market Sentiment: If there is a short term shift in sentiment, the less informed traders will chase the prices on the impulse or initial swing intraday, however we wait to enter an opposing market direction in accordance with HTF charts. We focus on strict conditions like HTF/daily direction based on institutional order flow and combine PDA for next level objectives. This in turn shall provide high probability setups. The 4 Hour chart is the last line of defense in terms of determining the bias. Any move against the 4 hour direction in LTF is a trap for retail. We however, follow the trend setup by 4 hour or preferably daily charts for day trades.

Buy Conditions:

- 1. IOF suggests a daily discount array in play.
- 2. There is sufficient range between current market price (CMP) and opposing premium array on daily.
- 3. During the opening bell the price declines under the opening price. Ideally the decline will be to a logical discount array on a 5 min chart.
- 4. Typically the price will not spend much time on the discount array on the 5 min chart.
- 5. Expect the price to sharply trade higher away from the 5 min discount array.
- 6. Longer the price stays or hovers near the 5 min discount array, the less the probability of price going higher. Immediate response is necessary.
- 7. Short term (1 min chart) sentiment will be most bearish at the time we enter long trades.

Sell Conditions:

1. IOF suggests a daily premium array in play.
2. There is sufficient range between CMP and opposing discount arrays on a daily chart.
3. During the opening bell the price rallies above the opening price. Ideally the rally will be to a logical premium array on a 5 min chart.
4. Typically the price will not spend much time on the premium array on the 5 min chart.
5. Expect the price to sharply trade lower away from the 5 min premium array.
6. Longer the price stays or hovers near the 5 min premium array, the less the probability of price going lower. Immediate response is necessary.
7. Short term (1 min chart) sentiment will be most bullish at the time we enter short trades.

TRADING DAILY REVERSALS

Previous Day Low : During expansion swings there are smaller retracements that typically create opportunities where the previous day low is raided then price rallies higher. We look for a confluence of HTF PDA to support the idea of buying under PDL. HTF sentiment support is necessary.

Previous Day High : In opposing expansion swings there are retracements that create opportunities where the previous day high is raided then the prices declines. HTF sentiment support is necessary.

ALGORITHMIC PRICING SYSTEMS

BUY SETUPS

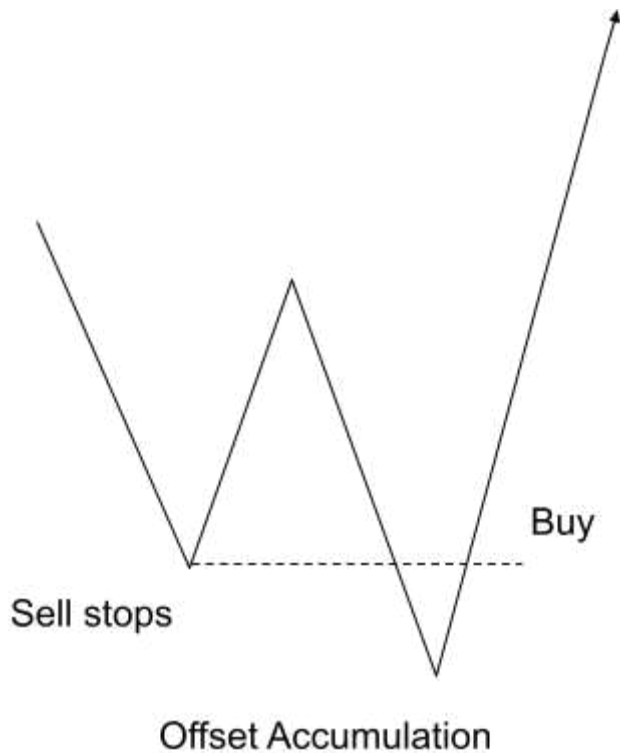
The price delivery mechanism is highly algorithmic. There is no ambiguity in price movements. The sole purpose of the price delivery algorithm is to engineer a liquidity pool and hunt it efficiently to have an edge over other players. The MAPS perform the following price engine model for buy programs:

1. Accumulate sell side liquidity by repricing under an old low :- Sell stops will be triggered inducing counterparty sellers to pair long entries with. Seek a higher short term premium array to offset (exit) positions.
2. Reaccumulate fair value in retracements lower at discount arrays :- Weak long holders will be squeezed during the retracement lower. Seek to expand higher a short term premium array to offset positions.

Let's have a look in detail.

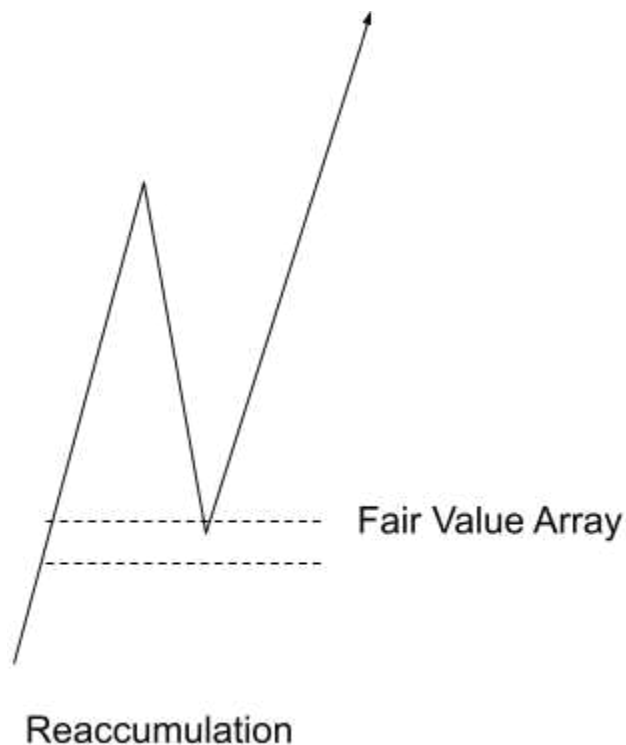
OFFSET ACCUMULATION:

- a. The price delivery algorithm reprice the market below an old low to promote sell stops that would be residing there for current long holders. This in essence engineers sellers at deep discount prices.
- b. There may also be sell stops for breakout systems below old low that wish to sell on weakness. This model is offset accumulation.
- c. Its primary purpose is to offset current long holders and/or induce more sellers at discount pricing.
- d. The model is seen frequently in bullish market conditions and while HTF institutional Order Flow is suggesting higher prices.
- e. Typically offset accumulation models unfold quickly and one must learn to anticipate them at key lows intraday.



REACCUMULATION:

- a. The price delivery algorithm reprices the market lower to a fair value price array to provide smart money discount pricing for long entries.
- b. The market will be bullish from institutional perspective and many times unfolds after a recent sell stop raid.
- c. The retracement lower in price will place pain on current long holders and tends to induce selling thus providing sell side liquidity to pair smart money long entries with. The model is reaccumulation.
- d. Its primary purpose is to reaccumulate new long entries or induce more sellers at discount pricing.
- e. The model is seen frequently in bullish market conditions and while HTF institutional OF is suggesting higher prices.
- f. Typically reaccumulation unfolds quickly and one must learn to anticipate them at key discount arrays intraday.



SELL SETUPS

The MAPS will perform one of the two price engine models:

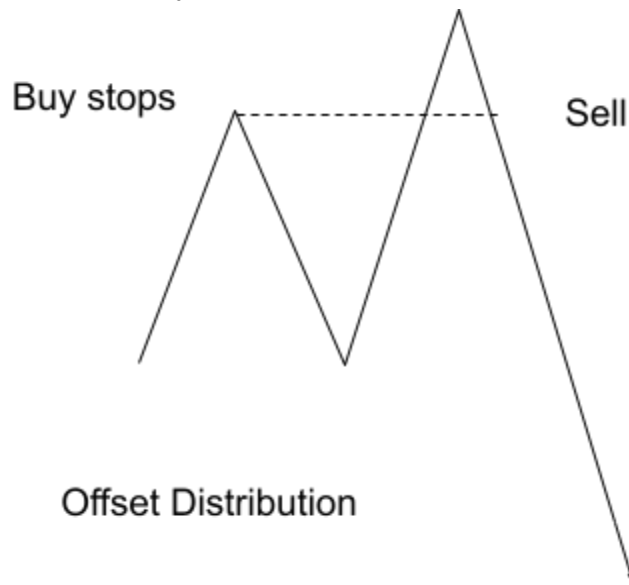
1. Accumulate buy side liquidity by repricing above an old high. Buy stops will be triggered inducing counterparty buyers to pair short entries. Price will seek a lower short term discount array to offset positions.
2. Reaccumulate fair value in retracements higher at premium arrays. Weak short holders will be squeezed in the retracement higher. Price will seek to expand lower to a short term discount array to offset positions.

Let's have a look in detail .

OFFSET DISTRIBUTION:

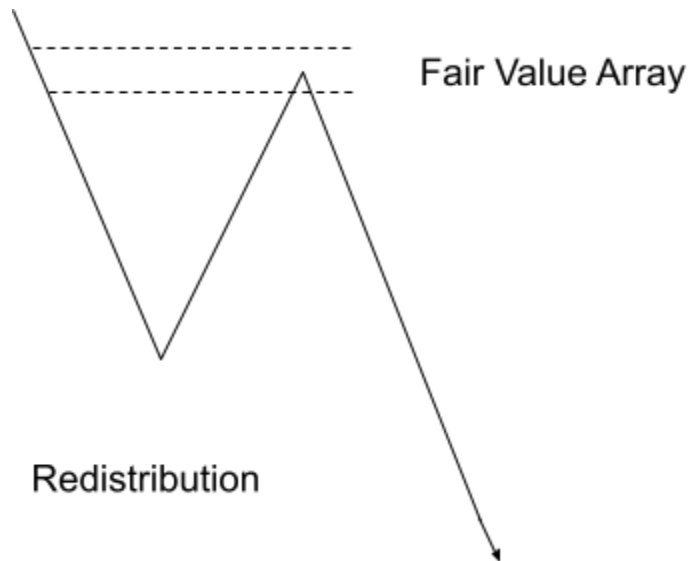
- a. Price delivery algorithm will reprice the market above an old high to promote buy stops that would be residing there for current short holders.

- b. This engineers buyers at premium prices. There may be buy stops for breakout systems above old high that wish to buy on strength. The model is called offset distribution.
- c. Its primary purpose is to offset current short holders and/or induce more buyers at premium pricing.
- d. The model is seen frequently in bearish market conditions and while HTF IOF is suggesting lower prices.
- e. Typically this model unfolds quickly and one must learn to anticipate them at key highs intraday.



REDISTRIBUTION:

- a. Price Delivery Algorithm will reprice the market higher to a fair value price array to provide smart money premium pricing for short entries.
- b. The market will be bearish from an institutional perspective and many times unfolds after a recent Bull stop raid.
- c. The retracement higher in price will place pain on current short holders and tends to induce buying, thus providing buy side liquidity to pair smart money short entries with. This model is called redistribution.
- d. Its primary purpose is to redistribute new short entries and/or induce more buyers at premium pricing.
- e. The model is seen frequently in bearish market conditions and while HTF IOF is suggesting lower prices.
- f. Typically redistribution unfolds quickly and one must learn to anticipate them at key premium arrays intraday.



SCALPING MODEL

- A. On a 5 min chart we transpose the HTF arrays.
- B. The HTF PDA will draw price and intraday the LTF PDA will provide the timing and price levels to enter on .
- C. Spend significant time studying whether the HTF is moving higher/lower and wait patiently for small range days to form. Market will reward patience and supply with daily ranges that expand and form clear intraday swings perfect for scalping.
- D. Set realistic objectives and not superficial ones.
 1. Trade duration: 2 hours or less.
 2. Timing chart interval : 5 min or less.
 3. Frequency of setups: 2-3 per day , around 15 per week typically.
 4. Risk/ Reward : 1:3 . (AVOID GREED)
- E. Since the duration and style of trading is so short term in nature, we need the most volatile times of the trading day to ensure to get a move.
- F. It is best to actively follow the market if you are going to scalp intraday. Use 'Maret Order' preferably.
- G. It's not about being 'Right' , It's about being 'Profitable'. In case of any suspicion on a trade , simply back off without hesitation.
- H. Remember, loss is inevitable. Loss is not a defeat, it is a premium paid for a greater insight.

DAY TRADE ROUTINE:

1. Look for any high/medium impact economic news alongwith their time of day. These provide good opportunities for scalping.
2. HTF PDA to be transposed on a 5 min chart.
3. CMP is at a premium or at a discount.
4. Look for institutional OF. What PDAs are respected most recently, premium or discount. In scalping we can countertrade also.
5. Look at 4hr/1hr Liquidity pools and what PDAs are respected.
6. Reaction near the PDAs in the 5 min chart.

OPEN INTEREST AS A CONFIRMATION TOOL:

- a. Open Interest can be used to measure the strength of a trend or price move and;
- b. Trace the footprints of the large elephants.

Price: uptrend	Ol: increasing	Bullish sign.
Price: uptrend	Ol: decreasing	Bearish sign.
Price: downtrend	Ol: increasing	Bearish sign.
Price: downtrend	Ol: decreasing	Bullish sign.
Price: consolidation	Ol: increasing	Bearish sign.
Price: consolidation	Ol: decreasing	Bullish sign.
At support area	Ol: decreasing	Bullish sign.
At resistance area	Ol: increasing	Bearish sign.

CONSOLIDATION DAYS:

Consolidation days are formed:

1. After a HTF PDA is met.
2. At equilibrium of HTF price swing ~ mid point pause.
3. Ahead of long holidays.

Focus on trading when HTF PDAs are met. Small ranges precede large ranges on a daily chart.
Remember : consolidation brings expansion.

TRENDING DAYS:

Trending days are formed :

1. After a series of small range days.
2. Directionally driven by daily PDA.
3. Liquidity seeking movement PDA and OF.

OPENING RANGE CONCEPT:

1. Designate the first half hour as opening range.
2. Opening range consists of the highest volume.
3. It tends to create highs/lows of the day.

MORNING SESSION:

1. 9:15 AM -12:00 noon.
2. Day high/low formed in the first hour generally.
3. Do not rush to enter a trade.
4. Observe for at least half an hour if the prices are moving according to the bias or not.

AFTERNOON SESSION:

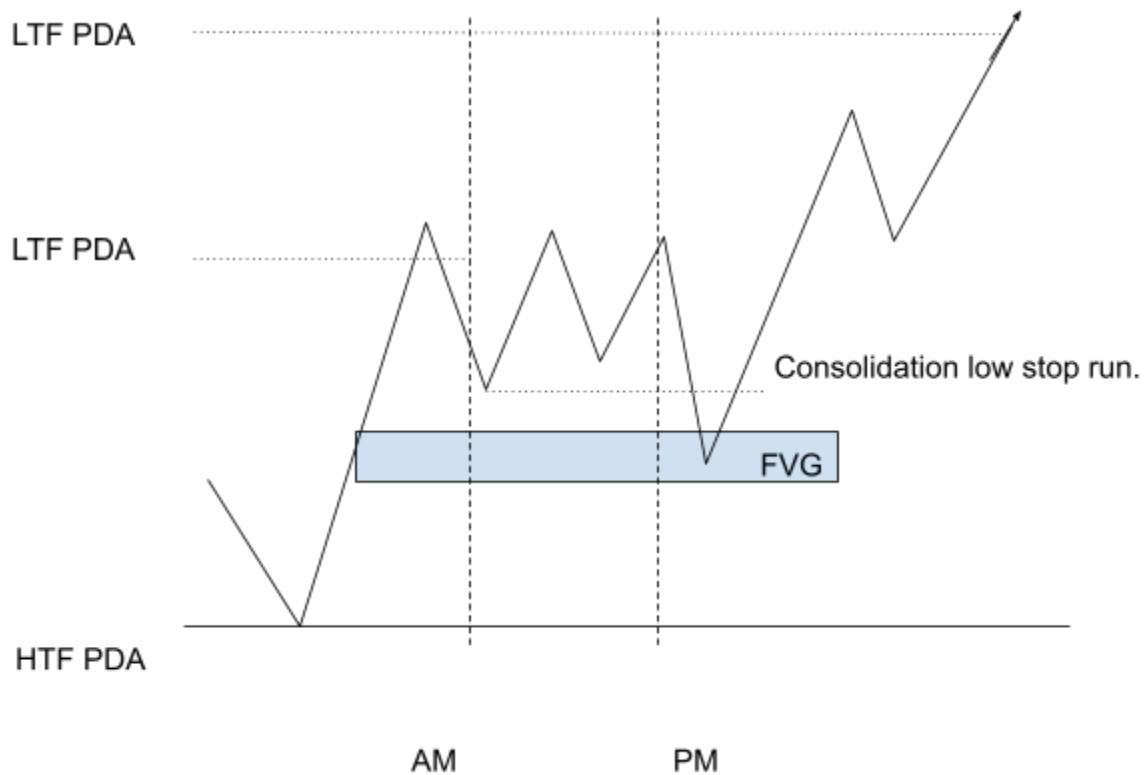
1. 12:00 - 3:00 PM.
2. Can be a continuation or reversal of the morning session.
3. Moves are usually faster and larger than morning sessions.
4. Last hour generally creates the opposite end of the daily candle.
5. If Morning ~ low of the day , then afternoon~ high of the day and vice versa.

DAILY BIAS

CASE 1: When the current market price (CMP) is in between two HTF PDAs , where price has space to move depending upon Institutional Order Flow (IOF).

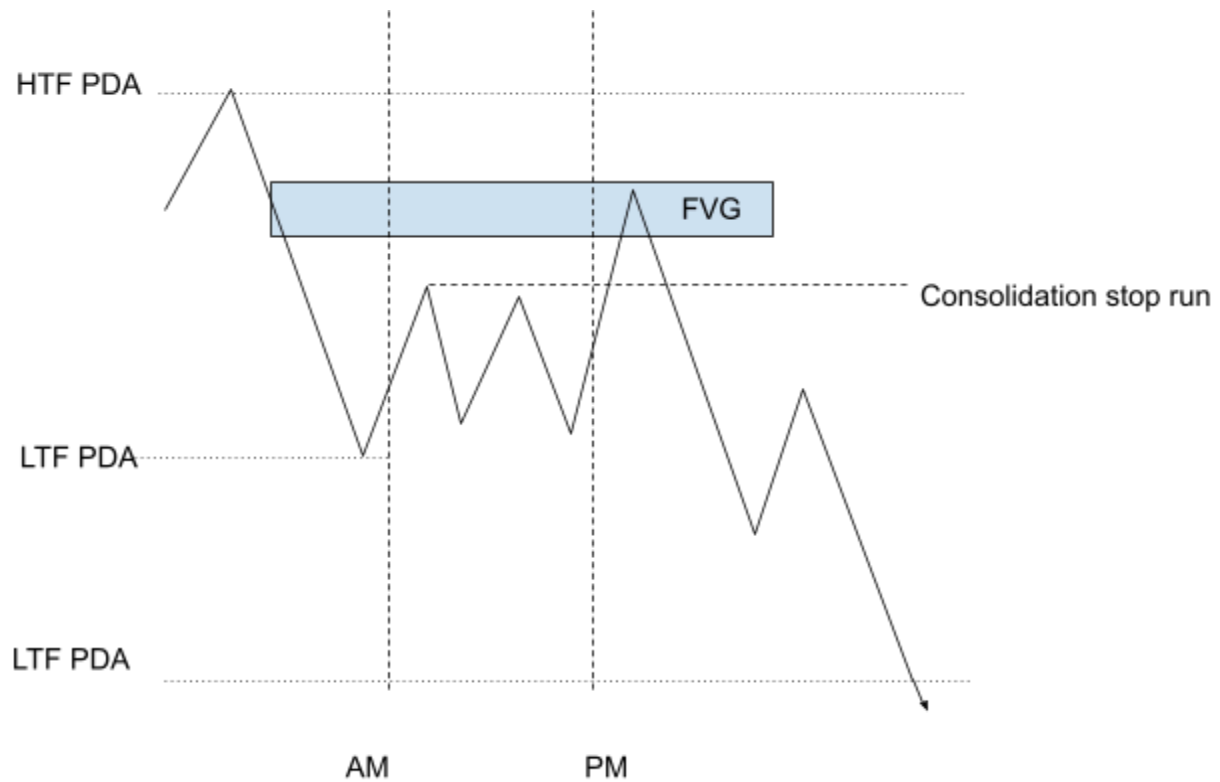
BULLISH SCENARIO: For bullish IOF, (Both sessions UP close) .

- CMP returns to discount PDA and rallies in the AM session (morning session).
- Consolidation after the rally with shallow retracement.
- CMP runs consolidation lows (stops) OR drops into discount PDA (FVG) then rallies into close in the PM session (afternoon session).



BEARISH SCENARIO: For bearish IOF, (Both sessions DOWN close) .

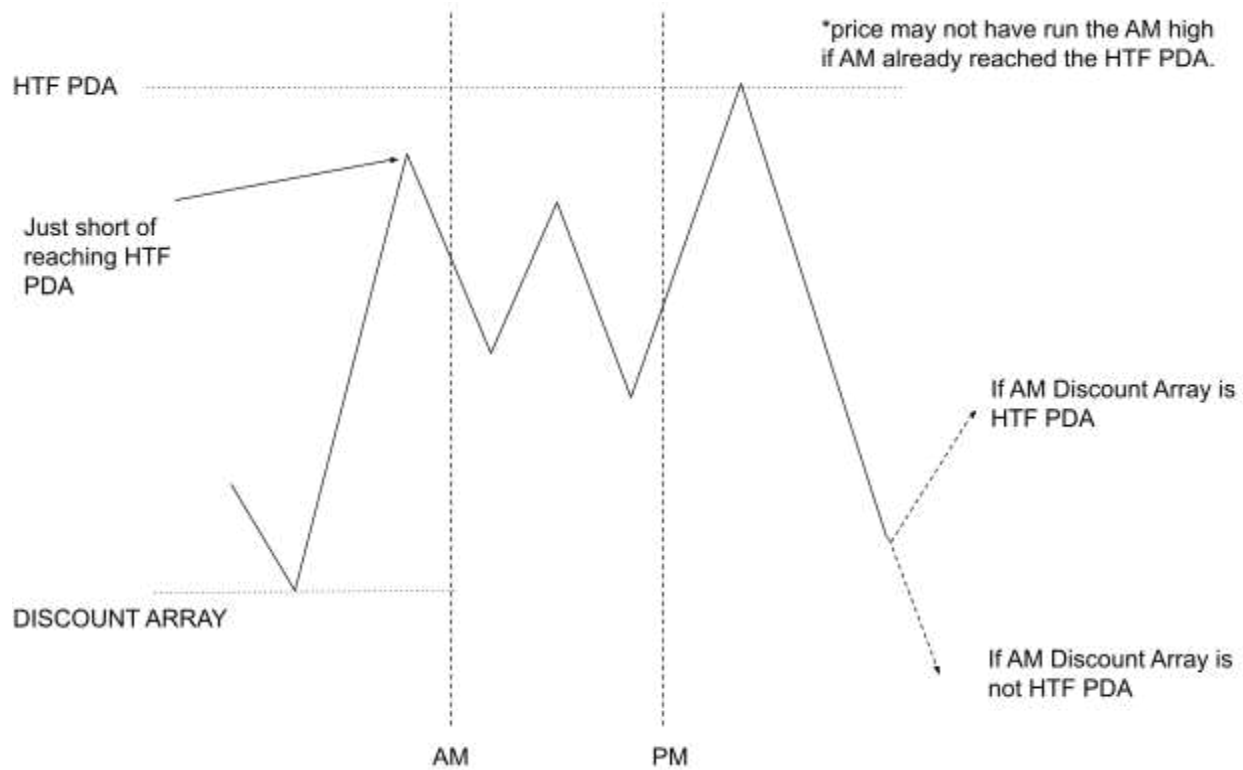
- CMP returns to premium PDA and declines in the AM session.
- Consolidation after the decline with shallow retracement.
- CMP runs consolidation highs (stops) OR rises into premium PDA (FVG) then declines into close in the PM session.



CASE 2: When CMP is about to reach an HTF PDA.

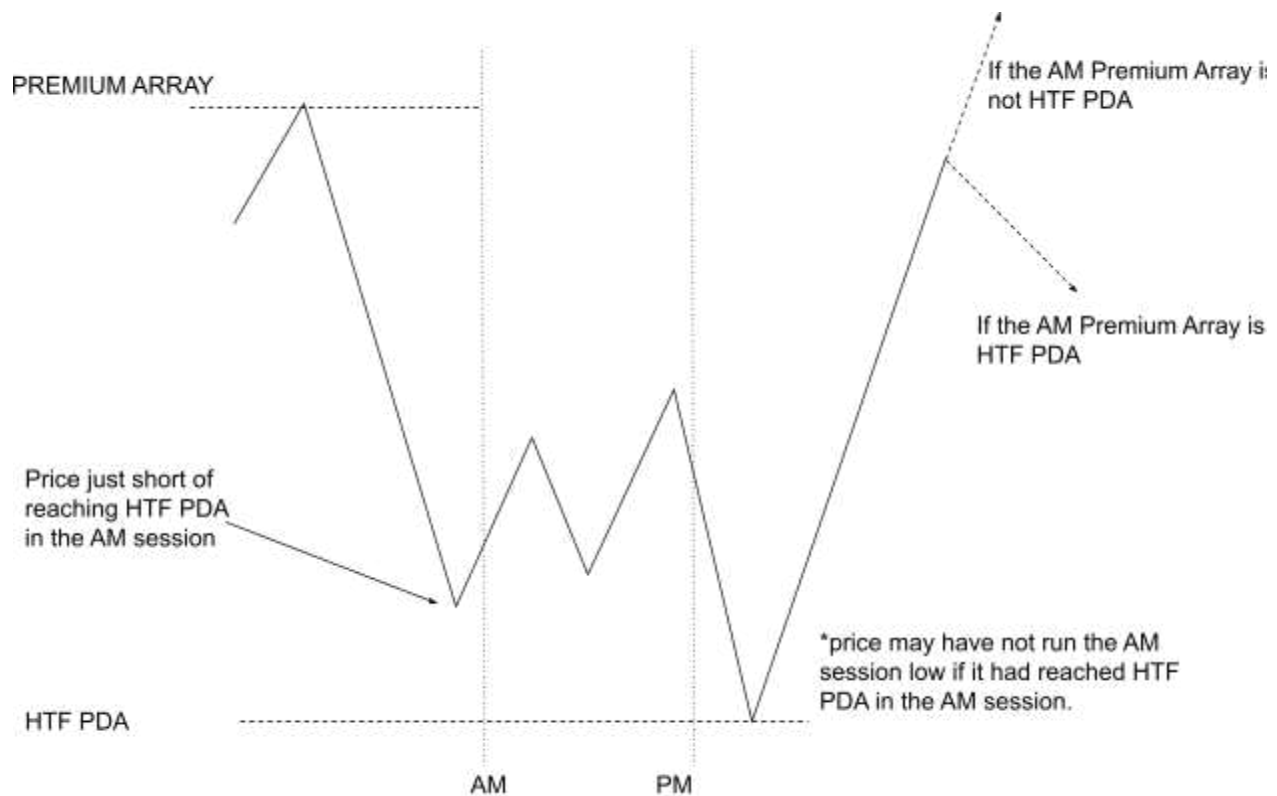
AM RALLY PM REVERSAL : IOF is bullish but the CMP is under an HTF premium array (just about to reach HTF PDA), this causes the AM rally PM reversal scenario.

- a. CMP returns to discount PDA then rallies in the AM.
- b. Consolidates with shallow retracements.
- c. CMP runs the consolidation highs (stops) - then reverses into close OR runs the intraday high and reverses into close in the PM. This occurs if the AM PDA is not an HTF discount array.
- d. *The PM trend may resume higher if the AM discount array is an HTF discount array.



AM DECLINE PM RALLY : IOF is bearish but the CMP is about to reach the HTF discount array.

- CMP returns to a premium array and declines in the AM.
- Consolidates with shallow retracements.
- CMP runs the consolidation lows / intraday low and then rallies into close in the PM. This occurs when the AM premium array is not an HTF premium array.
- *The PM trend may resume lower if the AM premium array is an HTF premium array.



NOTE: If the AM session has already reached HTF PDA , then the PM session will only run consolidation stops. If the AM session has not reached any HTF PDA, then the PM session will be expected to run the intraday stops.

CASE 3: Consolidation.

AM RALLY PM DECLINE: When IOF is unclear/ neutral.

- a. CMP returns to a discount array then rallies or expands higher from equilibrium (of the opening range) to run buy stops in the AM session.
- b. Consolidates with shallow retracements.
- c. Runs the consolidation highs/ intraday highs - then reaches for consolidation lows / intraday lows to run sell stops. The PM trend can simply consolidate into close.

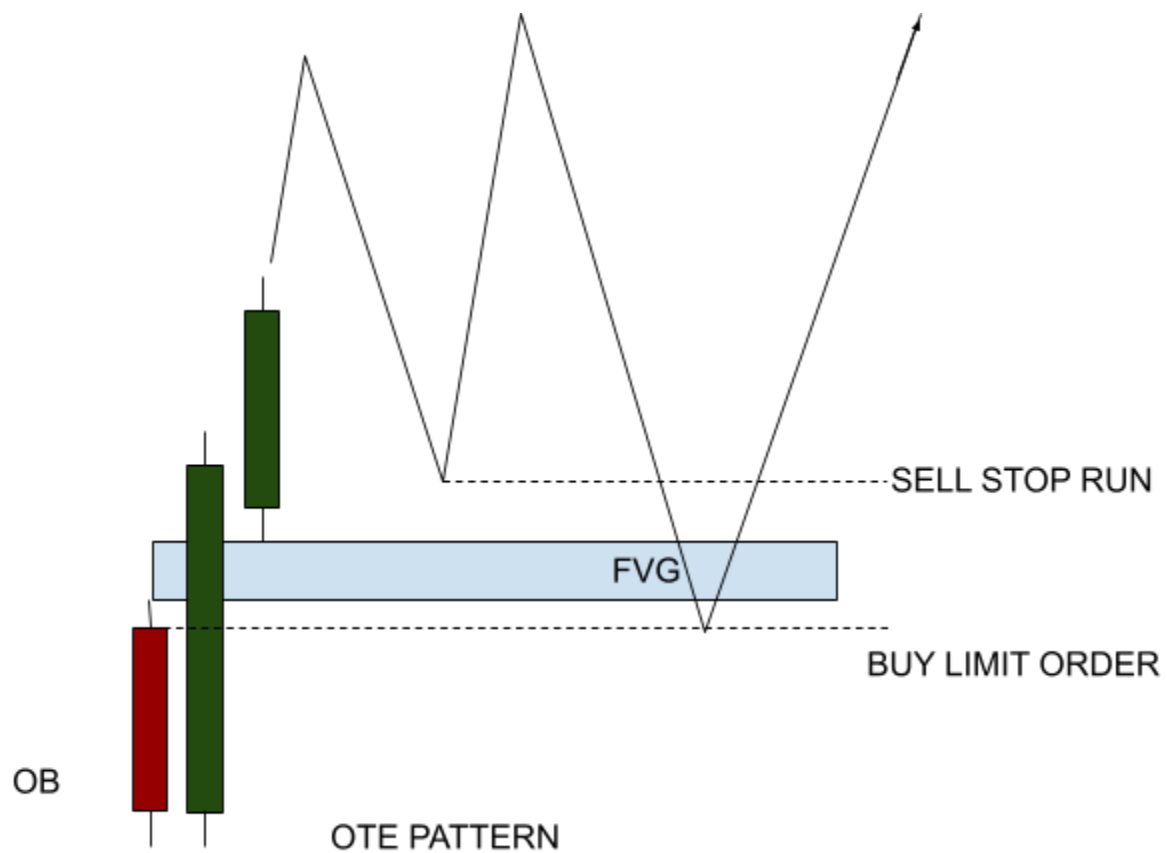
AM DECLINE PM RALLY: When IOF is unclear/ neutral.

- a. CMP returns to a premium array then declines or expands lower from equilibrium to run sell stops in the AM session.
- b. Consolidates with shallow retracements.
- c. Runs the consolidation lows / intraday lows - then reaches for consolidation highs / intraday highs to run buy stops. The PM trend can simply consolidate into close.

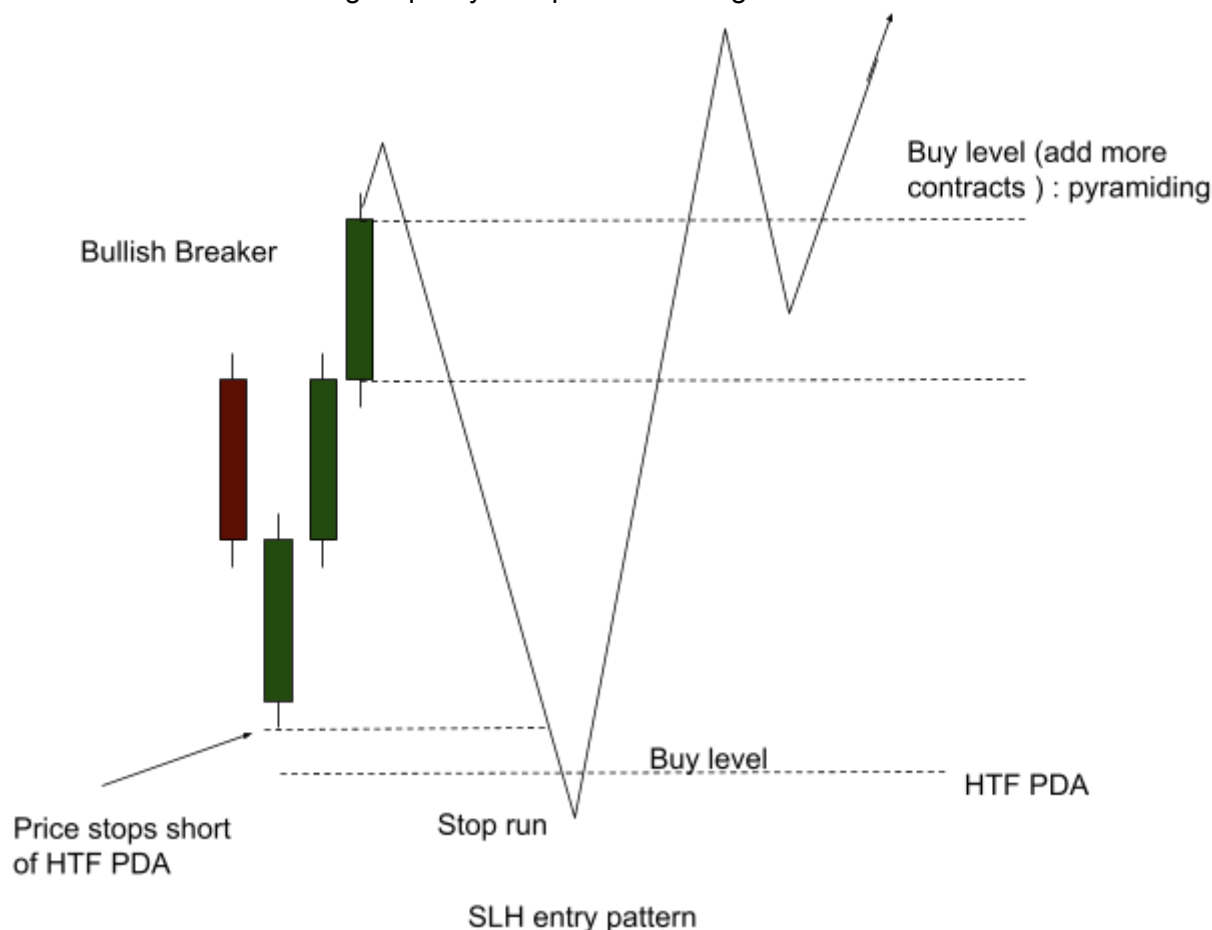
Case 3 patterns are similar to case 2 patterns but are not low resistance liquidity runs. So the curves are not smooth like case 2.

ENTRY PATTERNS

1. Internal range liquidity. Optimal Trade Entry (OTE)



2. External range liquidity . Stop Loss Hunting.



NOTE: Only these two patterns need to be traded consistently for buying opportunities. Reverse the patterns for sell side trades. However the following two models come handy in execution.

How to enter ?

- Daily chart will highlight the most probable draw on liquidity (SLH). This is where the price is most likely to trade to.
- Using this directional bias, we can anticipate the daily ranges to expand in that direction.
- For example, if the draw (SLH) is below the CMP, the daily ranges will open near the high and close near the low and vice versa.

TRADE PLAN: Preparation ~ opportunity ~ trade plan ~ execution ~ management.

PREPARATION:

1. Note all high impact events related to the market.
2. Determine the dealing range on a weekly/daily.
3. Inside the dealing range, look for the next draw on liquidity (SLH).
4. Look for PDA in the direction of the dealing range bias.
5. Anticipate price to move to a PDA that would support our bias which should be a low resistance liquidity run.

OPPORTUNITY:

1. Identify the previous day low (PDL) or intraweek low when the bias is bearish.
2. Identify the previous day high (PDH) or intraweek high when the bias is bullish.
3. Expect a daily range expansion in the direction of the bias.

TRADE PLAN:

1. When the market is primed, we want to look for a convergence of manipulation in price opposite to our trade bias. We will short premium FVG and buy discount FVG.

EXECUTION:

1. When bullish, note HTF discount FVG. Anticipate a 5 min institutional order flow entry drill (IOFED) { immediate rejection of a PDA by the CMP} , trade entry to form inside of a retracement lower OR a sell stop raid.
2. When bearish, note HTF premium FVG. Anticipate a 5 min IOFED trade entry to form inside of a retracement higher OR a buy stop raid.

MANAGEMENT:

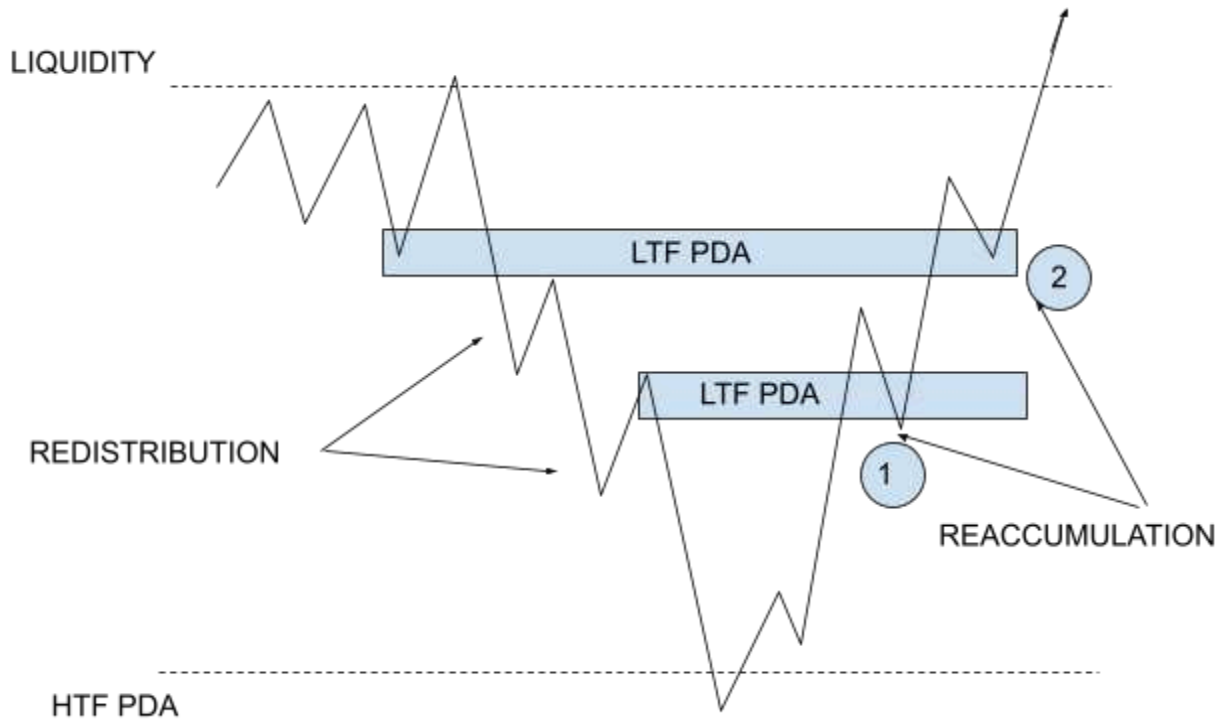
1. When we are entering a chart we will always place a limit order.
2. If multiple orders are placed, use the same entry price for all.
3. Place limit order to take target.
4. Never enter a trade without predetermined Stop Loss and Target.
5. If stopped out , DO NOT RE-ENTER. Close the day .
6. Do not rush trailing SL.

MARKET MAKERS BUY MODEL

- a. When the chart (at any time frame) presents us with a bullish condition, we have to understand when the market is poised to move higher on a draw on liquidity (SLH).
- b. In general we get two opportunities to enter.
- c. The initial consolidation may not be easy to spot.
- d. After the initial impulse swing low forms, it will generally be easier to locate the next draw on liquidity.
- e. In general we get 2 opportunities to enter.

- f. Generally stage 2 price movement is explosive as compared to 1 which means we may or may not get both 1st and 2nd stages of reaccumulation, rather a single explosive move until the liquidity near the initial consolidation gets absorbed.
- g. Trust an FVG overlapping with an old area of distribution/accumulation to enter a buy limit order.
- h. If an IOFED is formed near the expected target (SLH) , it may be possible that the point is not the terminus and price will likely be going beyond that level.

Buy side low resistance liquidity run.



MARKET MAKERS SELL MODEL

Utilize the sell side of the Market makers buy model to go short whenever the market presents us the opportunity to go lower. Just flip the MM buy model to get the sell model, nothing specific about the model.

THINGS TO REMEMBER EVERY TIME BEFORE ENTERING A TRADE

1. Day trading is not **everyday** trading.
2. Never ! **Never** ! try to pick tops/bottoms of the day.
3. Find the **narrative** of why the price is doing what it is doing during the opening session.
Do not enter without knowing the narrative.
4. Look for the MM Buy/**Sell** model to unfold.
5. It is better to look for **MSS** in LTF before entering.
6. **Never** use market order to enter. Always use **Limit Order**.
7. **Never overlook imbalances**.
8. **Never** underestimate divergences. Do not enter if **divergence** is spotted.
9. Left open PDA shows the strength of the trend.
10. Use FVG to support the bias and OB to enter a trade. Observe which PDAs are supporting prices and which ones are breaking (IOF).
11. When bearish , candles should face resistance at upclose candles and break through downclose candles.
12. When bullish, candles should find support on downclose candles and break upclose candles.
13. Never use **IFC** as OB. Look for a healthy one.
14. **Never Chase Price**. Let the price come to your levels. It is better to miss the train and catch another one. Market is always there, it's not going to end.
15. Insider candles are goldmines in the making.
16. Ignore lethargic price movements. If a price run is efficient and lethargic , it is likely to be purged immediately .
17. Counter Trend trade only when external range liquidity (HTF) has been taken .
18. Continuation trade only when internal range liquidity is nearby.
19. Near HTF PDA (daily or above) expect consolidation if the liquidity is not swept.
20. Do not fear to enter and **do not rush trailing SL**.
21. **IT IS NOT ABOUT BEING CORRECT , IT IS ABOUT BEING PROFITABLE.**